

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-11

IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV,

– vs. –

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

INFORMAL DOCKET NO.: 1953(I)

KAIRAT NURGAZINOV,

– vs. –

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

**COMPLAINANTS' EXCEPTIONS TO INITIAL DECISION GRANTING
RESPONDENTS' MOTION FOR JUDGMENT ON THE PLEADINGS**

Complainants IGOR OVCHINNIKOV, IRINA RZAEVA, DENIS NEKIPELOV, and KAIRAT NURGAZINOV (“complainants”), by and through their Counsel, Marcus A. Nussbaum, Esq., pursuant to Rule 227 of the Federal Maritime Commission's ("FMC" or "Commission") Rules of Practice and Procedure, 46 C.F.R. § 502.227, submit the following Brief and Exceptions to the Initial Decision issued in this proceeding by the Presiding Officer on March 9, 2017.

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I. INTRODUCTION

This case was initiated by complainants IGOR OVCHINNIKOV, IRINA RZAEVA, DENIS NEKIPELOV, and KAIRAT NURGAZINOV against respondent Non-Vessel Operating Common Carrier (“NVOCC”) EMPIRE UNITED LINES CO., INC. (“EUL”), its President and sole owner MICHAEL HITRINOV a/k/a MICHAEL KHITRINOV (“Hitrinov”), and warehouse/storage facility CARCONT, LTD. (referred to herein as “CarCont”) wherein complainants allege that respondents violated sections of the Shipping Act of 1984, 46 U.S.C. §40101, *et. seq.* (the “Shipping Act”) and the Commission's regulations at Part 515, in connection with four automobiles vehicles owned by complainants, to wit: a 2009 GMC Acadia, VIN GKLVDNED6AJ138200 (the “Acadia”), a 2011 Jeep Compass, VIN 1J4NF5FB7BD282296 (the “Jeep Compass”), a 2009 Mercedes-Benz C300, VIN WDDGF81X49R073295 (the “Mercedes”) and a Toyota Camry, VIN 4T1BE46KI9U306703 (the “Toyota Camry”) (individually and collectively, the “subject vehicles”). Respondents EUL and Hitrinov are already well known to this Commission due to EUL’s prior violations of the Shipping Act of 1984, 46 U.S.C. §40101, *et. Seq.* (the “Shipping Act”) (See, FMC Docket No.: 02-11).

The said four subject vehicles were purchased by the complainants from an automobile dealer in the United States known as G-Auto Sales, Inc. (“G-Auto” or “Global”) and its owner, Sergey Kapustin - - payment for the subject vehicles was made via wire transfer from the complainants’ separate bank accounts to Global. Said vehicles were paid for in full prior to being shipped on board. The subject vehicles were shipped (warehouse to warehouse) from the United States to Finland by respondent EUL and delivered to a warehouse owned and operated by respondent CarCont who ultimately released the vehicles to unidentified third-parties, thus depriving complainants as owners and proprietors from rightful receipt of the vehicles they have

purchased. It is alleged that CarCont is owned by and/or under the control of respondent Hitrinov.

II. NATURE OF COMPLAINANTS' CLAIMS

As the direct result of the acts and omissions of the respondents set forth above, to wit: respondents having improperly and unlawfully released the subject vehicles to unidentified third-parties other than complainants as owners and sole proprietors of the subject vehicles, complainants' instant complaint sounds in respondents' violation of violation of 46 U.S.C. § 41102(c) of the Shipping Act, and the FMC's regulations at 46 C.F.R. Part 515 in respondents having:

- i. Failed to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property;
- ii. Detained and converted the subject vehicles on the grounds that Kapustin allegedly owed monies to respondents for reasons not related to the shipment of the subject vehicles (under the false premise of having exercised a maritime lien).

III. RELEVANT PROCEDURAL HISTORY

Brief Background of the Federal Litigation Involving Kapustin and the Respondents

As noted in the underlying briefs by the parties as well as in the ID, there are two ongoing lawsuits between Kapustin and the Respondents herein in the U.S. District Courts for the Eastern District of New York and the District of New Jersey regarding the very same course of conduct during the two year Kapustin/EUL relationship, and during which the subject vehicles were shipped (however, in which the complainants herein are not parties), captioned as *Global Auto, Inc. et al. v. Hitrinov et al.*, (U.S.D.C. – E.D.N.Y. Docket No. 13-cv-2479) and *Akishev et al. v. Kapustin et al.* (U.S.D.C. – D.N.J. Docket No. 13-cv-07152).

In the New York lawsuit, there are claims against respondents herein and others alleging that Hitrinov and Empire operated as an NVOCC on Kapustin company shipments of automobiles to Finland. (ID at pp. 14-18) It is further alleged that when the Kapustin companies told Empire

that it had reached an agreement to ship their vehicles to Finland with other NVOCCs and VOCCs at more favorable rates, Empire and Hitrinov unlawfully seized Kapustin company cars *and refused to release them to their intended recipients*. Id. The New York Complaint asserted claims for relief pursuant to the Shipping Act, state law claims, and federal law claims, including violation of the Racketeer Influenced and Corrupt Practices Act (RICO). In the New Jersey lawsuit, there are claims against respondents herein and others “...that are substantially identical to the claims the Kapustin companies had brought against Empire and Hitrinov as Plaintiffs in the New York case.” (ID at p. 15)

The Instant Federal Maritime Commission Proceeding

On November 12, 2015, complainants IGOR OVCHINNIKOV, IRINA RZAEVA, DENIS NEKIPELOV initiated this proceeding against respondents, alleging that Respondents violated the Shipping Act and the Commission's regulations at Part 515, in connection with the subject vehicles, a copy of which is annexed hereto as Appendix “1”.

On or about January 9, 2016, complainant Kairat Nurgazinov initiated a separate proceeding against respondents herein, also alleging that Respondents violated the Shipping Act and the Commission's regulations at Part 515, in connection with the subject vehicles, a copy of which is annexed hereto as Appendix “2”. In both complaints, all four complainants similarly allege that: (1) they purchased the subject automobiles from Kapustin and/or a Global company and paid for said vehicles in full together with monies due for ocean freight and related charges; (2) G-Auto gave the original titles for the subject vehicles to EUL for clearance through customs and passed on the ocean freight and related charges to EUL; (3) the subject vehicles were shipped via EUL from the United States to a lot/warehouse facility controlled by CarCont; (4) after contacting CarCont to have the vehicles released to them, complainants were told that CarCont

would not release the vehicles because there was an unpaid loan due and owing to respondents by Kapustin; and (5) the respondents eventually converted the cars and sold them to third-parties in order to satisfy the loan allegedly due and owing from Kapustin to respondents.

Respondents did not answer or otherwise respond to the complaints in the time permitted by Commission rules. Complainants filed a motion for initial decision on default against Empire and Hitrinov in Docket No. 15-11. Show cause orders were issued in Docket Nos. 15-11 and 1953(I) requiring Respondents to answer or otherwise respond to the complaints and to show cause why initial decisions on default should not be entered, copies of which are annexed hereto as Appendix “3”.

Empire responded with motions to stay the proceedings pending a judgment in the New Jersey case. The motions were denied via Order of April 27, 2016, a copy of which is annexed hereto as Appendix “4”. Both proceedings were subsequently consolidated via Order of May 24, 2016. Additionally, the Presiding Officer issued Orders to File Shipping Documents in the above captioned matters, dated April 27, 2016 which specifically directed Respondents to serve and file with the Commission on or before May 4, 2016 all records relating to the ocean transportation of the subject automobiles, “...including, but not limited to, quotes of freight rates for transportation, shipping agreements, booking confirmations, bills of lading, dock receipts, invoices, payments for transportation, Certificates of Title, export and import declarations, notices of arrival, *and any other documents relating to the shipment of the vehicles.*” (See Appendix “5”) (Emphasis added).

Because of the delay, Respondents were also instructed not to file motions to dismiss, but to file answers and include in the answers any claimed Federal Rule of Civil Procedure Rule 12(b) defenses. (See, Order of April 13, 2016, annexed hereto as Appendix “6”).

While the Initial Decision of March 9, 2017 (the “ID” annexed hereto as Appendix “7”)

states that “Empire filed answers including Rule 12(b) defenses to *both* complaints...” the Commission should note that the Answer filed in Docket No.: 1953 (I) fails to contain a sworn verification pursuant to Rule 62(b). Subsequent thereto, on June 10, 2016, Respondents then filed a motion for judgment on the pleadings pursuant to Federal Rules of Civil Procedure 12(c) arguing that the Commission lacks subject matter jurisdiction and that the complaints fail to state claims for relief.

On May 27, 2016 Complainants advised Respondents via email that Respondents had not complied with the Orders of April 27, 2016. Such noncompliance by Respondents included, but were not limited to the following: failure to provide freight rates for transportation of the subject vehicles; failure to provide shipping agreements relating to transport of the subject vehicles; failure to provide booking confirmations regarding space on ocean liners that transported the subject vehicles; failure to provide import declarations and other customs documentation regarding the subject vehicles; failure to provide Notices of Arrival confirming arrival of the subject vehicles at the port of destination; failure to provide validated Certificates of Title for the subject vehicles. Respondents’ noncompliance with the Presiding Officer’s directives resulted in complainants filing a Motion to Strike, To Preclude, And to Compel Compliance with the Presiding Officer’s Orders on June 7, 2016.

On June 10, 2016, respondents filed their Motion for Judgment on the Pleadings, from which the instant Exceptions arise.

On June 29, 2016, the Presiding Officer issued a further Order to Supplement the Record, a copy of which is annexed hereto as Appendix “8”.

On September 2, 2016, complainants filed a further Motion Requesting a Ruling on Outstanding Discovery Issues Prior To Ruling On All Other Motions Pending, explaining that

complainants seek, inter alia, an Order compelling respondents to produce documents which are not only in respondents' sole custody, control, and possession, but which also contain indicia of complainants' ownership of the automobiles at issue, thus demonstrating that complainants do indeed have standing to allege claims sounding in violations of the Shipping Act of 1984. In the motion, complainants explained that said documents constitute material that respondents, as an NVOCC are required to maintain pursuant to 46 C.F.R 515.33. Said motion was denied without explanation, contemporaneously with the granting of respondents' Motion for Judgment on the Pleadings via Order of March 9, 2017, a copy of which is annexed hereto as Appendix "9".

It is from the Presiding Officer's Initial Decision of March 9, 2017, dismissing the instant action, from which complainants now respectfully appeal.

IV. QUESTIONS PRESENTED

The instant Exceptions and Brief in support thereof are respectfully submitted to the Commissioners and this Tribunal for consideration of the following issues arising out of the Initial Decision of March 9, 2017, which dismissed complainants' complaint for lack of standing, and which are, to wit:

- (a) DID THE PRESIDING OFFICER ERR IN CONSIDERING RESPONDENTS' MOTION FOR JUDGMENT ON THE PLEADINGS AS A 'FACTUAL' ATTACK IN THE ABSENCE OF PERMITTING COMPLAINANTS TO CONDUCT NECESSARY DISCOVERY?
- (b) DID THE PRESIDING OFFICER ERR IN DELIMITING COMPLAINANTS' STANDING TO SUE, BY IMPOSING REQUIREMENTS THAT COMPLAINANTS (1) DEMONSTRATE THAT THEY WERE CONSIGNEES IN THE CONTRACT OF CARRIAGE BETWEEN RESPONDENTS AND THE SHIPPER OF THE SUBJECT VEHICLES; AND (2) DEMONSTRATE THAT RESPONDENTS HAD A DUTY TO DELIVER THE SUBJECT VEHICLES TO COMPLAINANTS?
- (c) DID THE PRESIDING OFFICER ERR IN FAILING TO CONSIDER THAT AS A LICENSED OCEAN TRANSPORTATION INTERMEDIARY, RESPONDENTS HAD A STATUTORY DUTY TO KNOW, AND IN FACT DID KNOW THAT

COMPLAINANTS WERE THE ULTIMATE CONSIGNEES FOR THE SUBJECT VEHICLES?

- (d) DID THE PRESIDING OFFICER ERR BY ISSUING AN INITIAL DECISION WHICH CREATES PRECEDENT THAT STANDS FOR THE PROPOSITION THAT THE FEDERAL MARITIME COMMISSION MAY OPERATE IN A VACUUM WITHOUT GIVING ANY ACCORD OR CONSIDERATION TOWARDS AN NVOCC AND/OR FREIGHT FORWARDER'S FAILURE TO FULFIL ITS STATUTORY OBLIGATIONS TO OTHER EXPORT CONTROL AUTHORITIES, SUCH AS THE U.S. DEPARTMENT OF COMMERCE (CENSUS BUREAU) AND U.S. CUSTOMS AND BORDER PROTECTION?
- (e) DID THE PRESIDING OFFICER ERR BY REWARDING RESPONDENTS FOR FAILURE TO FOLLOW THEIR OBLIGATIONS UNDER FEDERAL EXPORT ADMINISTRATION REGULATIONS ("EAR") AND U.S. CUSTOMS AND BORDER PROTECTION REGULATIONS, SUCH AS THE STATUTORY OBLIGATION TO PROVIDE TRUE AND ACCURATE INFORMATION REGARDING THE IDENTITY OF PARTIES TO A SHIPPING TRANSACTION (I.E. THE U.S. PRINCIPAL PARTY IN INTEREST "USPPI", FOREIGN PRINCIPAL PARTY IN INTEREST "FPPI", EXPORTER, INTERMEDIATE CONSIGNEE, AND ULTIMATE CONSIGNEE OF THE CARGO) AND BY DENYING COMPLAINANTS RELIEF BEFORE THIS COMMISSION AS A RESULT OF SUCH FAILURE?

It is respectfully submitted that with regard to each and every one of the above questions presented, that as set forth below, all should be answered in the affirmative. With regard to questions (d) and (e) above, it is respectfully submitted that the ID appealed from herein stands in stark and marked contrast to the Commission's mission of regulating the U.S. international ocean transportation system for the benefit of U.S. exporters, importers, and the U.S. consumer, and in protecting the public from unfair and deceptive practices.

V. BRIEF STATEMENT

The crux of each of complainants' claims against respondents are that each Complainant alleges that he or she purchased a car from Kapustin company G-Auto Sales Inc. and paid G-Auto Sales for the car and transportation to Finland, but that Empire did not deliver the cars to them in violation of the Shipping Act." As explained by the Presiding Officer, after the subject vehicles

arrived in Finland “...Empire and/or CarCont sold the cars and kept the money (ID at p. 6). Complainants are asking the Commission to order Empire to pay them reparations because Respondents did not deliver the cars to them, but sold the cars to satisfy the debt Empire claims Kapustin owed it.” Id. The instant Exceptions solely address respondents’ violations of § 41102(c) of the Shipping Act.

In sum and substance, the Presiding Officer’s decision to grant respondents’ Motion for Judgment on the Pleadings was based upon an erroneous delimiting of complainants’ standing to sue, by imposing requirements that complainants (1) demonstrate that they were consignees in the contract of carriage between respondents and the shipper of the subject vehicles; and (2) demonstrate that respondents had a duty to deliver the subject vehicles to complainants. This led the Presiding Officer to further erroneously conclude that complainants had failed to demonstrate standing by concluding that CarCont was the consignee¹ for the subject vehicles and *not* the complainants, stating as follows:

“Complainants have failed to establish by a preponderance of the evidence that Kapustin entered into contracts of carriage with Empire that required Empire to deliver the cars to Complainants. Because they were not consignees on the shipments, *Complainants do not have standing to challenge Empire’s refusal to deliver the cars to them or Empire’s ultimate sale of the cars before the Commission.* Complainants have failed to establish that the Commission has subject matter jurisdiction over their complaints. Therefore, the complaints are dismissed with prejudice.” (ID at p. 6) (Emphasis added)

On this issue, the Presiding Officer further stated as follows:

“It would have been necessary for two events to have occurred for the contract of carriage to change this established procedure and identify Complainants as consignees on the contracts. First, shipper Kapustin would have had to tell carrier Empire that Kapustin wanted the four cars delivered to Complainants, not to CarCont. Second, assuming Kapustin did tell Empire it wanted these four cars to be delivered to Complainants as consignees, Empire would have had to accept the offer and agree to deliver the cars to Complainants. The burden of persuasion is on Complainants to show that Kapustin and Empire intended to treat the shipment of the four cars claimed by Complainants differently

¹ Findings of Fact #’s 93, 106, 119 and 131 all make reference to an AESDirect Shipment Record listing CarCont as the “Ultimate Consignee” for the subject vehicles.

from the other investment vehicles shipped during their two year relationship.” (ID at p. 62)

Notwithstanding the ALJ’s erroneous delimiting of complainants’ standing to sue, it should also be noted that erroneous finding that complainants were neither parties to the shipping transaction nor the lawful consignees (and as explained herein, the “ultimate consignees”) for the subject vehicles runs completely afoul of the rules and regulations of various regimes governing the export of cargo abroad, such as the U.S. Census Bureau and U.S. Customs and Border Protection (“CBP”); (including EAR and CBP Regulations), and which contain statutory defined terms, such as ‘USPPI’, ‘FPPI’, ‘ultimate consignee’, ‘intermediate consignee’, ‘end user’, ‘ultimate purchaser’ and others. The manner in which the conclusions in the ID were drawn also run completely afoul of this Commission’s mission statement, to wit: “To foster a fair, efficient and reliable international ocean transportation system and to protect the public from unfair and deceptive practices.”

Put simply, and pursuant to the statutory guidelines set forth in the EAR and CBP regulations, the respondents’ decision to designate CarCont as *ultimate* consignee in the AESDirect shipment records filed with the U.S. Census Bureau, or on a “dock receipt/bill of lading” (the authenticity of which is in question as explained below) means *nothing*, is dispositive of *nothing* and is *not* a basis for concluding that complainants have no standing to pursue Shipping Act claims against respondents (especially without having allowed complainants the benefit of discovery in this matter)². It is further respectfully submitted that once the EAR and CBP regulations are given consideration while reviewing the Exceptions to the Presiding Officer’s

² There was no discovery in this matter except for that which was directed by the Presiding Office pursuant to various Orders issued herein. No depositions were conducted, and complainants’ request for the Presiding Officer to issue a subpoena for documents to U.S. Customs and Border Protection was denied, as was complainants’ motion to compel respondents’ production of shipping documents (both denied contemporaneously with the issuance of the ID).

erroneous findings of fact and conclusions drawn therefrom as described below, it is clear that the ID is void and reversible in that it is entirely based upon the “say so” of respondents and Kapustin with respect to the manner in which they described their business dealings. In sum, the ID’s recitation of facts is simply a regurgitation of the story of a fictional business relationship as described by two fraudsters, and which bears no logical or rational connection to the law or to valid and authentic documentary evidence.

As explained herein, the conclusions in the ID (based upon documents which were created by respondents to mask their scheme and contained false information regarding the parties to the shipping transaction, thus circumventing controls established by CBP and the Census Bureau)³ regarding whether or not complainants were parties to the shipping transactions, are based upon a fiction which respondents have created (assumedly in anticipation of this proceeding in order to ‘cover their tracks’). While it is unknown to the undersigned whether or not the U.S. Department of Commerce, Bureau of Industry and Security Export Enforcement has, as of yet taken any enforcement action against the respondents for their numerous violations of the EAR as described in detail below, the significance of respondents’ duty to adhere to the EAR should not be overlooked, and is relevant and material to the Presiding Officer’s erroneous characterization of the shipping transactions from which this matter arises.

As the Commission may be aware, the U.S. Department of Commerce’s Bureau of Industry and Security (BIS) administers and enforces export controls for the Department of Commerce through the EAR under the authority of the International Emergency Economic Powers Act

³ The titles for the subject vehicles produced by respondents contain no validation perforations from CBP, no stamps, and no other proof that these titles, together with the bills of sale for the cars were actually presented to CBP at the time the subject vehicles were exported. Inasmuch as respondents unlawfully bypassed CBP controls, this was done for purposes of avoiding the obligation to report the true identity of the ultimate consignee (who are the complainants herein) to CBP.

(IEEPA)⁴. While the instant proceeding is not a criminal proceeding, the following criminal case summaries from the BIS's report from investigating of export control violations (annexed hereto as Appendix "10") are briefly described below for the Commission, not to show that respondents have violated the EAR (which is undisputable), but rather to highlight for the Commissioners, that by virtue of respondents having committed the unlawful acts for which others have been severely penalized and imprisoned, the respondents have created an untenable situation before this Commission by having, for the moment 'duped' the Presiding Officer (and hopefully not the Commissioners) into believing that no standing exists for complainants to pursue their Shipping Act claim...respondents have for the moment, gotten away with the 'perfect crime'.

CASE 1 - R&A International Trading Inc / Rukhsana Kadri - Concealing and misrepresenting the identity of the exporter or U.S. Principal Party in Interest ("USPPI") on Shipper's Export Declarations or Automated Export System records ("SED/AES records") filed with the U.S. Government

In December of 2013, New York-based freight forwarding company R&A International and its president and owner Rukhsana Kadri conspired to conceal and misrepresent the identity of the exporter or U.S. Principal Party in Interest ("USPPI") on Shipper's Export Declarations or Automated Export System records ("SED/AES records") filed with the U.S. Government, and committed a series of related violations, including soliciting a false statement during the course of an investigation. (Appendix "10" at p. 58).

R&A and Kadri entered into plea agreements with the U.S. Attorney's Office for the Eastern District of New York, admitting to knowingly making false statements in violation of 13

⁴ Although the Export Administration Act expired on August 20, 2001, the President, through Executive Order 13222 of August 17, 2001, 3 CFR, 2001 Comp., p. 783 (2002), as amended by Executive Order 13637 of March 8, 2013, 78 FR 16129 (March 13, 2013) and as extended by successive Presidential Notices, the most recent being that of August 4, 2016, 81 FR 52587 (August 8, 2016), has continued the Export Administration Regulations in effect under the International Emergency Economic Powers Act (50 U.S.C. § 1701 *et seq.* (2006 & Supp. IV 2010)). BIS continues to carry out the provisions of the Export Administration Act, as appropriate and to the extent permitted by law, pursuant to Executive Order 13222 as amended by Executive Order 13637.

U.S.C. § 305, in connection with a subset of 10 of the false SED/AES record filings that the New York Field Office had identified, and agreed to forfeit \$125,263.00. In addition to the forfeiture, R&A was sentenced in August 2014 to two years' probation, a criminal fine of \$100,000, and a \$4,000 special assessment, and Kadri was sentenced to three years' probation, a criminal fine of \$30,000, and a \$100 special assessment. Id.

In July 15, 2016, during the first day of an administrative trial before an administrative law judge, R&A International and Rukhsana Kadri jointly and severally agreed to pay a civil penalty of \$500,000.00, of which \$350,000.00 is suspended during a five-year probationary period, and agreed to a five-year suspended denial order. In entering into and as part of the settlement agreement, R&A International and Kadri admitted each of the allegations and violations charged by BIS. Id.

CASE 2 - Arc Electronics / Alexander Fishenko / Alexander Posobilov / Shavkat Abdullaev / Anastasia Diatlova - Providing False End-User Information In Connection With The Purchase of the Goods, Concealing The Fact That They Were Resellers, And Falsely Classifying The Goods They Exported On Export Records Submitted To The Department Of Commerce

Between 2008 and 2012, Alexander Fishenko, owner of Houston, Texas-based Arc Electronics, and several of its employees obtained advanced microelectronics valued at over \$30 million from manufacturers and suppliers located within the United States, and exported those goods to Russia, while carefully evading the government export licensing system. (Appendix "10" at p. 46).

They provided ***false end-user information*** in connection with the purchase of the goods, concealed the fact that they were resellers, and falsely classified the goods they exported on export records submitted to the Department of Commerce. Id. The microelectronics shipped to Russia included analog-to-digital converters, static random access memory chips, microcontrollers and microprocessors. On October 26, 2015, after a month-long trial, Alexander Posobilov, Shavkat

Abdullaev and Anastasia Diatlova were convicted in U.S. District Court for the Eastern District of New York. In September 2015, Alexander Fishenko pled guilty in connection with the illegal exports. On October 9, 2012, BIS added 165 foreign persons and companies to its Entity List for allegedly engaging in this illegal export scheme. *Id.* at p. 47.

Case 3 - Go Trans (North America)/Roger Unterberger/Muhammad Bhatti – Making False Statements In Connection With The Attempted Export of Pipecutting Machines To Iran Via Germany

The July 2008 edition of the BIS' Investigations report (a copy of which is annexed hereto as Appendix "11") explains that Go-Trans (North America), of Jamaica, New York, a freight forwarder, Roger Unterberger, a retired Senior Vice President of Gondrand AG, headquartered in Basel, Switzerland, and Muhammad Bhatti, made false statements in connection with the attempted export of pipecutting machines to Iran via Germany. (Appendix "11" at p. 33). All three pled guilty to false statement charges. On October 24, 2007, Go Trans was sentenced to one year of probation and a \$34,000 criminal fine; Roger Unterberger was sentenced to one year of probation and a \$5,000 criminal fine; and Muhammad Bhatti was sentenced to one year of probation. *Id.* In the related administrative cases, Bhatti paid a \$34,000 penalty, Unterberger paid a \$25,500 penalty, and Go Trans paid a \$34,000 penalty. *Id.* at p. 34.

CASE 4 - The Matter of Maria Elena Ibanez – Causing, Aiding, and Abetting Violations of the EAR by Improperly Avoiding the Requirement to File Shipper's Export Declarations and Providing False Information on Commercial Invoices

In a final example from the BIS Annual Fiscal Report for Year 2003 (annexed hereto as Appendix "12"), on October 31, 2002, the Commerce Department imposed a civil penalty of \$115,000 and a five year denial of export privileges on Maria Elena Ibanez of Miami, Florida. Ibanez agreed to the penalty to settle charges that she caused, aided, and abetted violations of the EAR by International High Tech Marketing (IHTM), a firm that she previously operated. BIS

alleged that, on 265 occasions between May 1996 and September 1998, Ibanez caused, aided, and abetted IHTM in various export control violations, including ***improperly avoiding the requirement to file Shipper's Export Declarations***. Id. (emphasis added),

In March 2002, a U.S. District Court judge in Miami placed Ibanez on probation for 18 months and fined her \$5,000 for conspiring to falsify commercial invoices. Previously, in March 2000, IHTM pled guilty in U.S. District Court in Miami to five counts of export violations in connection with exports to Libya and Sudan ***and providing false information on commercial invoices***. IHTM was fined \$250,000 for these violations. IHTM is no longer in business. Id.

Pursuant to the EAR, Complainants Have Standing to Sue for Shipping Act Violations

By way of the instant Exceptions, the Commission has now been afforded an opportunity to correct an untenable situation which was created by the manner in which the ID has been written and in which the respondents have effectively been rewarded for making false and material misrepresentations of fact in the AES Shipment Records filed with the U.S. Census Bureau. In finding that CarCont was the consignee for the shipment of the subject vehicles, the Presiding Officer relied upon false and material misrepresentations by respondents and for which others, as set forth above, have been penalized by imprisonment and significant monetary penalties.

By definition, CarCont was simply a warehouse and unloading facility, and could not have been the 'ultimate' consignee for the subject vehicles in that at best, CarCont was an "intermediate" consignee. It should further be noted that the subject vehicles were shipped in three separate containers wherein they were consolidated with other cargo not owned by complainants, therefore CarCont would have had to have been the *intermediate* consignee in that the subject containers were unloaded at its facility in Kotka, Finland, to be released to complainants as ultimate consignee.

It is further respectfully submitted that as explained therein, the Presiding Officer's characterization of the facts in this matter erroneously failed to accurately depict to the true nature of the shipments as far as Kapustin and respondents were concerned, to wit: these were *not* standard shipments originating in the U.S. with Kapustin as shipper and ending in Kotka, Finland with CarCont as ultimate consignee, rather, these shipments were *transshipments* as defined by 15 CFR Part 30 - Foreign Trade Regulations in that the subject vehicles were ultimately destined for the complainants as 'ultimate consignees', who reside in various republics of the former Soviet Union. If this Commission were to allow the ID to stand as is, the end result will be a precedent allowing the respondents herein and others to effectively bypass the EAR by shipping cargo through a third country without having to identify the ultimate consignee and point of destination.

One is left to wonder how many of the approximate six-hundred eighty (680) vehicles shipped overseas from the U.S during the course of the two year Kapustin/Hitrinov relationship were unlawfully diverted to restricted countries in violation of U.S Embargos, Anti-Terrorism controls or other export restrictions. The bottom line is that respondents' feigned ignorance as to the identity of the end users of these vehicles, is at the very least, troubling. Each and every Mediterranean Shipping Co. ("MSC") ocean liner bill of lading for the subject vehicles clearly states that the cargo was exported from the United States "in accordance with the Export Administration Regulations...[and that]...diversion contrary to U.S. Law [is] prohibited." (Copies of the MSC sea waybills are annexed hereto as Appendix "13").

Also of concern is the fact that the ID effectively rewarded the respondents for violating the EAR (by not providing true and accurate information regarding the parties to these shipping transactions), and instead penalized the complainants for failing to establish that they were the consignees for the subject vehicles.

Additionally, the Commission may be aware that the ID discusses, at length, the other parallel lawsuits ongoing in Federal Court in New York and New Jersey involving both Kapustin and the respondents herein, as well as documents submitted by the various parties. Based upon the statements made by Kapustin and Hitrinov in those proceedings, as well as various documents produced therein by Kapustin and respondents, the Presiding Officer found that the relationship between respondents and Kapustin "...was not a typical shipper-carrier relationship" (ID at p. 4) and that a course of conduct had existed with respect to an alleged joint venture involving Global and respondents.

While respondents claim to have allegedly owned the subject vehicles, in part (60% as claimed by respondents), and claimed to not have been acting in the capacity of NVOCC when the cars were shipped, the Presiding Officer (correctly) disagreed on the issue of EUL allegedly not having acted as NVOCC, finding that other parties (rather than EUL) were identified as "owner" on shipping documents, and that pursuant to its service contract with ocean liner MSC, EUL had certified its status to MSC as having acted in capacity as NVOCC and not as owner of cargo shipped by EUL via MSC.

With respect to the business relationship between Kapustin and respondents (lasting approximately two years), however, the Presiding Officer had found that a 'course of conduct' existed between Kapustin and respondents wherein all cars shipped by Kapustin through respondents (approximately 680 vehicles during the course of two years as established by documents) were consigned to either CarCont or to a Finnish company owned by Kapustin identified as "Global Cargo Oy". As explained by the Presiding Officer, the cars which had nothing to do with a joint investment were consigned to Global Cargo Oy, the balance being consigned to CarCont. (FF#s 79 and 80 on p. 41 of the ID).

On the issue of the parties' 'course of conduct' as described by the Presiding Officer, the ID stated that it was "Empire and the Kapustin companies [that had] entered into a contract of carriage for Empire to transport the cars by water to Finland" and the Presiding Officer then advocated on behalf of respondents, explaining that:

"The burden of persuasion is on Complainants to show that Kapustin and Empire intended to treat the shipment of the four cars claimed by Complainants differently from the other investment vehicles shipped during their two year relationship." (ID at p. 62)

As set forth in detail below, and in coming to the foregoing conclusion, the Presiding Officer erroneously ignored evidence presented by complainants which established that Kapustin had indeed provided respondents with information identifying complainants as ultimate consignees, such as spreadsheets which identified the subject vehicles by make, model, VIN number, and which identified the complainants by name. (See Appendix "2" and "3" to Complainants' Reply to Respondents' Response to Order for Parties to Supplement the Record, dated August 9, 2016, now annexed hereto as Appendix "14").

As further set forth below, not only did the Presiding Officer selectively rely upon respondents' proffered documents (albeit fraudulent ones) in the section of the ID which recites the various findings of fact, the Presiding Officer additionally selectively omitted additional facts that were established by documents proffered by complainants and which prove (by a preponderance) that complainants were indeed the lawful owners of the subject automobiles (such as wire transfers, proof of payment and receipt of a copy of the title and bill of lading from Kapustin). These were provided as part of complainants' Notices of Filing of May 2, 2016 and May 4, 2016, respectively annexed hereto as Appendix "15" and "16".

Contrary to the Presiding Officer's erroneous conclusion that complainants' ownership of the subject vehicles is irrelevant (ID at p. 65), it is respectfully submitted that pursuant to the EAR,

complainants' status as owners of the subject vehicles *is indeed relevant* in that it establishes their status as FPPI (and as explained below, the 'ultimate consignee', 'end user' and/or 'ultimate purchaser'), and which by definition would make G-Auto, at best, the USPPI and CarCont an 'intermediate' consignee. - - Accordingly, as explained herein these documents do indeed establish complainants' standing to pursue a Shipping Act claim against respondents at this stage of the litigation, and to the extent that the Presiding Officer selectively omitted various findings of fact, the ID is in error because it gives the sense of advocacy on the part of the ALJ rather than impartial even-handed adjudication which is required by the Administrative Procedure Act.

Among its many shortcomings, the ID is arbitrary and capricious; it makes ultimate conclusions of fact which do not rationally flow from the Findings of Fact; it blatantly fails to consider at all evidence in the record on central issues which is contrary to Respondents' positions; and in some instances, the ID reaches conclusions of fact on key issues with no factual support whatsoever in the record, some of which border on the absurd. Furthermore, the ID blatantly and repeatedly ignores established Federal Maritime Commission regulations and law in its legal conclusions. It is respectfully submitted that inasmuch as the ID, as it currently stands, provides a "how to" guide for the members of the shipping public who desire to engage in unfair and deceptive practices without any fear of repercussion, not only should the ID be reversed, *it should be stricken from the record.*

As also set forth herein, and contrary to the Presiding Officer's erroneous finding, the record demonstrates that Global intended the vehicles to be released to complainants via a chain of emails between Global and respondents, wherein Global requested that respondents provide the bills of lading for the subject vehicles, which were subsequently forwarded to complainants by Global, together with the invoices and/or bills of sale for the subject vehicles as well as the titles.

These documents were provided to complainants to assure them that the cars were shipped, that freight was prepaid, and that complainants would subsequently be able to retrieve the cars from CarCont's lot. As explained herein, there is nothing on the record that indicates that Global *did not intend* the subject vehicles to be released to complainants, or that complainants were not the intended consignees of the vehicles. The record is clear that the sole issue over releasing the cars was a dispute over money *between Global and Empire*.

As further set forth below, and pursuant to EAR: (1) respondents were legally obligated to know (and did know) the true identity of the persons (as ultimate consignees) to whom the subject vehicles and other cargo⁵ listed on the EUL bills of lading were consigned, the identity of the USPPI and FPPI and value of the cars; and (2) EUL entered into the subject shipping transactions knowing that CarCont was the intermediate consignee.

It is also respectfully submitted that the ID was based, in part, upon incomplete and unauthenticated shipping documentation, which complainants identified for the Presiding Officer in the record below on multiple occasions.

By way of example, and as further described in detail below, findings of fact were reached in the ID based upon dock receipts/bills of lading (and an additional document entitled "master bill of lading") allegedly issued by respondents for the subject shipments which were undated, and that bear no pier/date stamps or other proof that these documents were ever presented to CBP at the time that the subject vehicles were exported. (See, Appendix "15" and "16").

It is also noted that these "dock receipts/bills of lading" contain the false statement "NO SED REQUIRED" which assumedly means that respondents purport that no Shippers Export Declarations (containing the identity of USPPI, FPPI, and ultimate consignee) needed to be filed

⁵ The EUL "bills of lading/dock receipts" listed an additional 200 kilograms of cargo and other cars not related to this proceeding.

with the U.S. Census Bureau via the filing of Electronic Export Information through the online Automated Export System known as AESDirect. This is misleading not only to the Commission, but to G-Auto as shipper and to complainants, who were as a result of this fraud were led to believe that no AES Shipment records existed and were thus deprived of the opportunity to confirm with the Census Bureau that they were properly identified as ultimate consignees for the subject vehicles.

It is further noted that the MSC sea waybills actually contain AES Internal Transaction Number conformation codes establishing that Shipper's Export Declarations were filed with the Census Bureau (See, Appendix "13") and which means that respondents provided one set of documents to MSC for preparation of the MSC sea waybills, and a completely different set of documents to G-Auto and complainants (and ultimately, the Presiding Officer on who made findings of fact on these 'alternate documents')⁶.

In sum, it was impossible for respondents to have exported the cars overseas if they had presented CBP with the same documentation that they presented to the Presiding Officer during this proceeding. These "shipping documents" were never used as part of the export process for the subject vehicles. To the extent that findings of fact were based upon these documents, the ID should be reversed, the documents should be stricken, and complainants motion to compel the production of the *actual* documents used during the shipping process (said motion was denied by the Presiding Officer) should now be granted, together with such other and further relief that the Commission may deem just and proper.

On the issue of these unauthenticated documents, respondents' failure to fulfill their legal obligations to create and maintain records which accurately reflected the true parties to the

⁶ In light of recent political events ongoing in Washington DC, the Commission may be familiar with the term "alternate facts".

shipping transactions (per their course of conduct with Kapustin) are *precisely* the reason why complainants as unsophisticated parties (and who are not experts in the automobile export industry) were not in possession of documents identifying them as ultimate consignees for the cars.

Complainants, as unsophisticated parties to the subject shipping transactions, reasonably believed that the documentation (such as the EUL documents entitled “master bill of lading”, “dock receipt/bill of lading”) provided to them by Global when they purchased the subject vehicles was sufficient proof to establish their legal right to the cars at the time of delivery to CarCont’s warehouse. In essence, by finding that “[c]omplainants have not identified evidence that would support a finding that shipper Kapustin intended that they be identified as consignees or that Empire, operating as an NVOCC, agreed to deliver the cars to Complainants...” the Presiding Officer, in error, not only delimited complainants’ standing to sue as set forth herein, but also (1) effectively rewarded respondents for failing to keep true and accurate records; and (2) wholly ignored the glaring fact that Global requested that respondents provide the bills of lading for the subject vehicles, which were subsequently forwarded to complainants by Global, together with the invoices and/or bills of sale for the subject vehicles as well as the titles.

Additionally, and in some instances the ID *reaches conclusions of fact* on key issues which are made in error and run afoul of the Export Administration Regulations (“EAR”) as well as those of the CBP, for example, stating on page “65” that “it is not plausible to believe that Empire would agree to treat these four cars differently from the hundreds of investment vehicles previously shipped and deliver them to Complainants...”. As explained herein, this conclusion runs contrary to complainants’ status as ‘ultimate consignee’, ‘ultimate purchaser’, and ‘end user’ as defined in the Code of Federal Regulations.

Consequently, and in light of respondents' repeated violations of the Shipping Act and the ongoing nature of some of these allegations, allowing the ID to stand would effectively sanction respondents' actions and allow the respondents to continue to engage in their modus operandi of defrauding innocent members of the shipping public.

As set forth below, complainants have indeed alleged and/or set forth sufficient facts that would support a finding they have standing to sue for violations of the Shipping Act and that the Commission has jurisdiction of complainants' claims with respect to the subject vehicles, thus warranting that the Commission now reverse the ID, and remand the matter for further proceedings.

VI. ARGUMENT

A. THE PRESIDING OFFICER ERRED IN CONSIDERING RESPONDENTS' MOTION FOR JUDGMENT ON THE PLEADINGS AS A 'FACTUAL' ATTACK IN THE ABSENCE OF PERMITTING COMPLAINANTS TO CONDUCT NECESSARY DISCOVERY

Standard of Review

It is well settled that a jurisdictional finding of genuinely disputed facts is inappropriate when the jurisdictional issue and the substantive issues are so intertwined that the question of jurisdiction is dependent on the resolution of factual issues going to the merits of an action. See, Johnson v. Jacobs, No. 2:14-CV-02323-JAM, 2015 WL 1607986, at *2 (E.D. Cal. 2015) (citing Safe Air for Everyone v. Meyer, 373 F.3d 1035, 1038 [9th Cir. 2004]); (Defendants' motion represents a factual attack on the complaint because it "disputes the truth of the allegations that, by themselves, would otherwise invoke federal jurisdiction...the federal statute in question provides the basis for both the subject matter jurisdiction of the Court and Plaintiff's substantive claims for relief.... Addressing the merits of Defendants' attack on jurisdiction *would require the Court to resolve disputed issues of fact*...thus, the Court found that the issue of jurisdiction

presented by Defendants and the substantive issues presented by this litigation are in fact so intertwined that the question of jurisdiction is dependent on the resolution of factual issues going to the merits of this action) (emphasis added).

The Court in *Johnson*, *supra*, found that jurisdictional finding of genuinely disputed facts was inappropriate, and held that “[r]ather than convert this motion into one for summary judgment at this early stage, the Court DENIES Defendants’ motion to dismiss for lack of jurisdiction without prejudice *in order to allow for discovery by both parties*” *Id.* (emphasis added) (citing *Johnson v. Conrad*, No. 2:14-CV-00596-MCE, 2014 WL 6670054 [E.D. Cal. 2014]) (finding the *conversion of a Rule 12(b)(1) motion “to one for summary judgment would be premature because Plaintiff has not yet had the opportunity to engage in discovery and thus has not had the opportunity to develop the evidence he may need to rebut Defendants’ ‘facts’*) (emphasis added). *See also, Johnson v. Hernandez*, No. 2:14–CV–01635–MCE, 2014 WL 6670170 (E.D.Cal.2014).

It is further well settled that in ruling on a jurisdictional motion involving factual issues which also go to the merits, the trial court should employ the standard applicable to a motion for summary judgment, “as a resolution of the jurisdictional facts is akin to a decision on the merits...”. *See, Augustine v. United States*, 704 F.2d 1074, 1077 (9th Cir. 1983); (citing *Thornhill Pub. Co. v. Gen. Tel. & Elecs. Corp.*, 594 F.2d 730, 732 [9th Cir. 1979]). Converting the instant Motion to one for summary judgment would be premature *because Plaintiff has not yet had the opportunity to engage in discovery and thus has not had the opportunity to develop the evidence he may need to rebut Defendants’ “facts.”* *See, Johnson v. Hernandez, supra.*

In ruling on a jurisdictional motion involving factual issues which also pertain to the merits, and inasmuch as the Court is generally required to employ the standard applicable for summary judgment, the Court must refuse to convert the defendants’ motion to one for summary judgment

on the basis that such a motion is premature *when the plaintiff had been afforded no opportunity to engage in any discovery to rebut the defendants' evidence*. See, Acosta v. Fast N Esy II, Inc., No. 116CV01150LJOSAB, 2017 WL 75796, at *3 (E.D. Cal. 2017) (emphasis added).

It is additionally well settled that when a defendant moves to dismiss the complaint as to it for lack of jurisdiction and that the proof of defendants' unlawful conduct is peculiarly under their control, the failure of the plaintiff to come forward with substantial proof at the time of the motion should not mean that defendant must prevail on the motion. See, e.g., Tonelli v. Chase Manhattan Bank, N. A., 49 A.D.2d 731, 372 N.Y.S.2d 662, 663 (2d Dep't 1975) (denying motion to dismiss on grounds that *discovery of information in defendant's exclusive custody will cure deficiency*) (emphasis added). Indeed, Courts regularly decline to undertake a factual analysis on a Rule 12(b)(1) motion to dismiss for lack of standing at an early juncture when no discovery has taken place. See, Wong v. Muddy Pig, Inc., No. CIV. 14-3334 RHK/TNL, 2015 WL 225231, at fn. 1 (D. Minn. 2015); (citing Sawczyn v. BMO Harris Bank Nat. Ass'n, 8 F. Supp. 3d 1108, 1111 (D. Minn. 2014)).

It is also well settled that it is reversible error to grant a motion to dismiss on the issue of standing where the Court is presented with contradictory evidence without allowing the parties the opportunity of having an evidentiary hearing. See, United States v. 1998 BMW "'I' Convertible Vin No. WBABJ8324WEM 20855, 235 F.3d 397, 400 (8th Cir. 2000); (the Court of Appeals held that district court erred in ruling that claimants lacked standing to challenge forfeiture of automobile without conducting an evidentiary hearing...explaining that *the district court was presented with contradictory evidence bearing directly on the question of whether appellants had an ownership interest in the BMW...the district court ultimately ruled that appellants lacked standing to challenge the forfeiture....in so ruling, however, the district court resolved factual*

disputes and made witness credibility determinations central to the issue of standing simply by relying on a warring paper record consisting of conflicting affidavit and deposition transcripts...and that because there were disputed factual issues and witness credibility determinations to be resolved, the district court was required to conduct an evidentiary hearing). See also, Bischoff v. Osceola County, Fla., 222 F.3d 874, 881 (11th Cir.2000) (concluding the district court was required to hold an evidentiary hearing that included live witness testimony when the parties presented the court with conflicting affidavits regarding the issue of standing); Munoz–Mendoza v. Pierce, 711 F.2d 421, 425 (1st Cir.1983) (“The court must resolve any genuine disputed factual issue concerning standing, either through a pretrial evidentiary proceeding or at trial itself.”); Martin v. Morgan Drive Away, Inc., 665 F.2d 598, 602 (5th Cir.1982) (vacating the district court's order dismissing a party for lack of standing without first holding an evidentiary hearing when several issues of fact were in dispute).

Courts have further held that Judges simply cannot decide whether a witness is telling the truth on the basis of a paper record and must observe the witnesses' demeanor to best ascertain their veracity—or lack thereof. See, Goldberg v. Kelly, 397 U.S. 254, 269, 90 S.Ct. 1011, 25 L.Ed.2d 287 (1970) (“[W]here credibility and veracity are at issue ... written submissions are a wholly unsatisfactory basis for decision.”); see also, United States v. Lang, 898 F.2d 1378, 1380 (8th Cir.1990) (“The dynamics of the situation may be difficult to gauge from the antiseptic nature of a sterile paper record”).

It is equally well settled that a Motion to Dismiss should be denied as premature to be reinstated at an appropriate time after Plaintiff has had an opportunity to examine and/or obtain documents relevant to his claims. See, Cope v. Felts, No. CIV A 505-CV-01175, 2007 WL 858621, at *3 (S.D.W. Va. 2007). See also, Crisp v. Dutton, No. A-15-CV-0431-LY-ML, 2015 WL

7076483, at *8 (W.D. Tex. 2015) (information as to which officers allegedly injured plaintiff is not available to the plaintiff but “may be readily obtainable” from discovery, it is an abuse of discretion to dismiss plaintiff’s claims without providing access to that discovery).

It is respectfully submitted that under the controlling case law cited above, the Presiding Officer erred in construing respondents’ motion to dismiss as a ‘factual’ attack upon subject matter jurisdiction in the absence of allowing complainants to conduct the very discovery necessary to obtain evidence and facts to fully oppose defendants’ motion. Correspondingly, the Presiding Officer further erred by not applying a “summary judgment” standard to respondents’ motion, within the meaning of the controlling case law set forth above, which pursuant to said case law would have immediately and properly rendered respondents’ motion as premature pending the conducting of discovery and the taking of testimony. See, Johnson v. Jacobs, Johnson v. Hernandez, Johnson v. Conrad, Acosta, Tonelli, Wong, Sawczyn, supra, and other cases cited above, wherein in each and every one of the aforecited cases the Court either a) denied the motion to dismiss outright; b) converted the motion to dismiss to one for summary judgment and denied the motion as premature in order to allow discovery to proceed; or c) reversed the holding of the trial Court below for having failed to do so. See, Id.

Consequently and based upon the Presiding Officer having erred as set forth above, it is respectfully submitted that the Presiding Officer’s Initial Decision of March 9, 2017 should be reversed.

- B. THE PRESIDING OFFICER ERRED IN DELIMITING COMPLAINANTS' STANDING TO SUE, BY IMPOSING REQUIREMENTS THAT COMPLAINANTS (1) DEMONSTRATE THAT THEY WERE CONSIGNEES TO THE AGREEMENT BETWEEN RESPONDENTS AND THE SHIPPER OF THE SUBJECT VEHICLES; AND (2) DEMONSTRATE THAT RESPONDENTS HAD A DUTY TO DELIVER THE SUBJECT VEHICLES TO COMPLAINANTS

Standard of Review

It is well settled that when a defendant, moving to dismiss under FRCP 12(b)(1) and 12(b)(6) asserts a factual attack on plaintiff's standing to sue, it is improper for the Court to resolve factual disputes until the summary judgment stage. See, Polo Ralph Lauren, L.P. v. Tropical Shipping & Const. Co., 215 F.3d 1217, 1222 (11th Cir. 2000) (fact issues existed as to whether clothing corporation was owner of goods, precluding summary judgment as to whether it had standing to sue under Carriage of Goods By Sea Act, *even though it was not named as party in bills of lading*...the Court referred to well-established principles of maritime law that grant an owner of lost or damaged cargo standing to sue for damages based on its proprietary interest in the goods, even if the owner is not explicitly named in the bill of lading).

It is further well settled that when plaintiffs set forth documents that establish Plaintiffs' proprietary interest in the property at issue, that Courts should decline to resolve the issue of whether Plaintiffs have *standing* to sue at the motion to dismiss stage in light of factual issues, and reserve the issue for the summary judgment stage. See, Flexiteek Americas, Inc. v. PlasTEAK, Inc., No. 08-60996-CIV, 2009 WL 890613, at *1 (S.D. Fla. 2009) (citing Lawrence v. Dunbar, 919 F.2d 1525, 1529 [11th Cir.1990]); (plaintiffs set forth a significant number of documents, including an agreement, court rulings and records that purportedly establish Plaintiffs' proprietary interest in the property at issue...the Court acknowledged that when presented with a "factual attack" on subject matter jurisdiction, such as the one raised in the instant motion, a Court can look outside the pleadings and may consider documents, affidavits and agreements...however, for the

reasons discussed therein, the Court declined to resolve the issue of whether Plaintiffs have standing to sue at such stage).

The Court in Flexiteek, *supra* held that the standing issue raised in the motion to dismiss is clearly a factual dispute, and that Plaintiffs have set forth a substantial number of documents tending to show that they possess a proprietary interest in the property at issue. The Court further found that it is prudent to address the standing issue at the summary judgment stage where the Court may consider the entire factual record that the parties have developed during the course of discovery. *Id.* See also, Eaton v. Dorchester Development, Inc., 692 F.2d 727 (11th Cir.1982) (reversing a district court's decision granting the defendants' Rule 12(b)(1) motion and remanding for further discovery of jurisdictional facts); see also DDB Techs., L.L.C. v. MLB Advanced Media, LP., 517 F.3d 1284 (Fed.Cir.2008) (reversing district court's dismissal for lack of subject matter jurisdiction and remanding for further jurisdictional discovery); MSP Recovery LLC v. Progressive Select Ins. Co., No. 15-20616-CIV, 2015 WL 10457208, at *2 (S.D. Fla. 2015) (Defendant moved to dismiss on three grounds – standing, subject matter jurisdiction, and failure to state a claim - - At the motion to dismiss stage, the Court found it inappropriate to resolve the factual dispute...in so ruling, the Court found that it was prudent to address the standing issue at the summary judgment stage, where the Court may consider the entire factual record that the parties have developed during the course of discovery).

It is respectfully submitted that under the controlling case law cited above, the Presiding Officer erred in delimiting complainants' ability to establish standing to the restrictive requirements described above, while ignoring established "black letter" precepts which, in accord with the EAR discussed below, establishes that complainants were by definition the purchasers, ultimate consignees and end-users of the subject vehicles, which conveyed standing to sue via

ownership of the subject vehicles, and/or a proprietary interest therein. This proprietary interest, pursuant to the EAR cited herein establishes that complainants, by definition, were indeed parties to the shipping transaction as ‘ultimate purchasers’, ‘end-users’, and ‘ultimate consignees’, and that CarCont, as ‘intermediate consignee’ could not by definition be the ultimate consignee.

Indeed, the Presiding Officer went to far as to hold as follows in complete derogation of the controlling case law set forth above, to wit:

“Ownership of the cars is not relevant for Shipping Act purposes...” - - Clearly, and pursuant to the case law set forth above and the Export Control Administration Regulations cited herein, the issue of ‘ownership’ is indeed “relevant”; specifically for purposes of imbuing complainants who had a proprietary interest in the subject vehicles, as parties to the shipping transaction, with standing to sue squarely within the meaning of the controlling case law cited above. Equally clearly, the Presiding Officer undeniably erred by ignoring same.

It is respectfully submitted that through such limited discovery that the complainants herein deigned to provide a multitude of documents giving rise to complainants’ ownership and proprietary interests in the subject vehicles which were roundly ignored by the Presiding Officer such as the titles, invoices from Global and proof of payment for same. (See, Appendix “15 and “16”).

It is further respectfully submitted that said documents at the least create a factual dispute as to whether complainants were the owners of the subject vehicles, and that a determination of complainants’ standing to sue thus should have been deferred to the summary judgment stage, wherein additional discovery could have been conducted and testimony adduced which upon information and belief would have revealed further substantial evidence of complainants’ ownership interests in the subject vehicles so as to provide complainants with standing to sue

squarely within the meaning of the controlling case law set forth above.

Consequently and based upon the Presiding Officer having erred as set forth above, it is respectfully submitted that the Presiding Officer's Initial Decision of March 9, 2017 should be reversed.

C. AS A LICENSED OCEAN TRANSPORTATION INTERMEDIARY, RESPONDENTS HAD A STATUTORY DUTY TO KNOW, AND IN FACT DID KNOW THAT COMPLAINANTS WERE THE ULTIMATE CONSIGNEES FOR THE SUBJECT VEHICLES

As set forth below, not only did respondents act in the role of NVOCC with respect to the shipment of the subject vehicles, the respondents additionally performed functions of a Freight Forwarder *which were not performed by Kapustin*, for example, preparing and filing Electronic Export Information with the U.S. Department of Commerce, Census Bureau, and (allegedly) presenting the certificates of title for the subject vehicles at the time of export (together with other shipping paperwork) to the Department of Homeland Security, U.S. Customs and Border Protection.

The execution of these various tasks by respondents is governed by Federal regulations, such as the Export Administration Regulations, as well as the Rules and Regulations of CBP which pertain to the Exportation of Used Self-Propelled Vehicles. The relevant sections of these regulations are explained below, and when taken under consideration together with the facts of this matter, the Commission can see that the Presiding Officer erroneously concluded that complainants failed to establish that they were the 'consignees' for the subject vehicles.

The following section of this brief also explains the industry process and documentation, requirements for export of used self-propelled automobiles, and the applicable rules and regulations of the export control authorities relevant to the instant matter, all of which demonstrate that the Presiding Officer misclassified the nature of these shipments, which are, in essence,

“transshipments” as defined below, and which further demonstrate that it is *impossible* for respondents to have shipped the subject vehicles abroad without knowing that complainants were the designated recipients. That designation was misrepresented by respondents, not only the Commission, but to the U.S. Census Bureau and CBP.

Industry Process and Documentation

The role of an NVOCC is to act as an intermediary for ocean transport. NVOCC’s are by definition a common carrier. They do not operate their own ships, but instead contract with ocean carriers for space on the vessels they operate and resell that space to the shipping public. The ocean carriers they buy from are called Vessel-Operating-Common-Carriers or VOCC’s. Note that both NVOCC’s and VOCC’s are common carriers. The NVOCC issues a House Bill of Lading (House Bill) with their own customer as Exporter/Shipper and/or Consignee in the designated box(es). Cargo moved by ocean will always move under a Bill of Lading.

The importance of Bills of Lading goes back many centuries. This document has evolved over time as a negotiable instrument used in banking and documentary collection. A Bill of Lading is a contract of carriage that provides *Prima Facie* evidence of the following:

- a. *Receipt of cargo*⁷
- b. *Goods are onboard the vessel*⁸
- c. *Cargo received in good condition (absent of exceptions)*⁹

Author William Winters further defines the importance of the Bill of Lading as part of the *commercial set*:

In the ordinary commercial transaction there are four documents which collectively are known as a commercial set. These documents represent and take place of the goods

⁷ Buckley, James. The Business of Shipping. 8th ed. (Maryland: CMP, 2008) p. 351

⁸ Winter, William. Marine Insurance: Its Principles and Practices. 3rd ed. (New York: MH, 1952) p. 316

⁹ Gilmore, Grant. The Law of Admiralty. 2nd ed. (New York: TFP, 1975) p. 141

themselves in the financing of the transaction and pass current in all markets of the world. They are:

- 1. The invoice, which is the merchant's bill for the goods and set forth the terms of sale*
- 2. The bill of lading, which is the carrier's receipt for the goods*
- 3. The insurance certificate or special policy, which is the document of guarantee*
- 4. The draft of bill of exchange, which is the merchant's payment¹⁰*

In the case at bar, EUL acted in the capacity of NVOCC as determined by the Presiding Officer and also as that of freight forwarder, for example, when it prepared and filed Electronic Export Information with the U.S. Department of Commerce¹¹, Census Bureau, and (allegedly) presented the certificates of title for the subject vehicles at the time of export, together with other shipping paperwork to CBP (which complainants believe never actually occurred, thus allowing respondents to bypass CBP controls), arranged for the loading and containerization of the subject vehicles at the port of loading in New Jersey, as well as for the unloading and transport to the CarCont facility after the ocean liner arrived at the port of destination in Kotka, Finland.

As explained above, freight forwarders or other agents acting on behalf of the principal parties are responsible for their actions, including the representations they make by signing an export declaration or other export control document and may be prosecuted for violating the EAR. *A fortiori*, in order to help avoid liability in an export transaction, agents and exporters must decide

¹⁰ Winter, William. Marine Insurance: Its Principles and Practices. 3rd ed. (New York: MH, 1952) p. 51

¹¹ The record demonstrates that the respondents even requested confirmation from the Census Bureau as to whether or not they are obligated to identify themselves as freight forwarder in the AES Shipment Records if they are acting as authorized agent of the shipper/exporter and had power of attorney to file Shippers Export Information through AESDirect on behalf of the USPPI. This email also referred respondents to “the data element for authorized agent”...listed in Section 30.6(b)(1) of the Foreign Trade Regulations, which requires that the authorized agent (respondents herein) provide to the U.S. Census Bureau, through AESDirect, the identity of the intermediate and ultimate consignees. (See, Appendix C3 to Respondents Reply to Complainants’ Response to the Presiding Officer’s Order to Supplement the Record, dated August 9, 2017).

whether any aspect of the transaction raises red flags, inquire about those red flags, and ensure that suspicious circumstances are not ignored.

It is well settled that an ocean freight forwarder “is an entity that arranges transportation of goods on behalf of a shipper from a United States location to an overseas location. The freight forwarder, acting as the *shipper's* agent, takes delivery of the goods, routes them to their destination, prepares documentation, arranges for any necessary storage, and completes any other tasks relating to the movement of the goods. Freight forwarders *must be licensed by the Federal Maritime Commission...* and are strictly regulated...”. See, United States v. Ventura, 724 F.2d 305, 306, 1983 U.S. App. LEXIS 14524, *3-4, 1984 AMC 645 (2d Cir. N.Y. 1983).

It is additionally well settled that in order to discern whether a party has acted as an ocean freight forwarder or a non-vessel operating common carrier, a Court may consider the following factors: (1) the way the party's obligation is expressed in documents pertaining to the agreement; (2) the history of dealings between the parties; (3) issuance of a bill of lading; and (4) how the party made its profit and, in particular, whether the party acted as 'agent of the shipper . . . procuring transportation by carrier and handling the details of shipment for fees which the shipper paid in addition to the freight charges of the carrier utilized for the actual transportation. See, Zima Corp. v. M. V. Roman Pazinski, 493 F. Supp. 268, 273 (S.D.N.Y. 1980) (quoting Chicago, Milwaukee, St. Paul & Pacific R.R. Co. v. Acme Fast Freight, Inc., 336 U.S. 465, 484, 69 S. Ct. 692, 93 L. Ed. 817 (1949)); Ca' de Be' Imps., Inc. v. Zim-American Israeli Shipping Co., 2006 U.S. Dist. LEXIS 127, 2006 WL 23547 (E.D. Pa. 2006).

As set forth in the ID, it is undisputed that respondents performed various OFF tasks set forth above with respect to the export of the subject vehicles. Among other things, respondents prepared and/or processed export declarations and prepared “dock receipts/bills of lading” and

“master bills of lading”, delivered the empty container from the port to the loading facility in New Jersey so that the subject cars could be loaded and consolidated with other shipments, delivered the loaded container to the port of export, arranged for warehouse storage, (allegedly) provided documents for clearance of the cars through CBP, and handled the payment of ocean freight and other monies.

Respondents’ role as freight forwarder with respect to the shipment of the subject vehicles is significant in that it establishes that respondents were responsible for the point to point shipment of the cars and that their duties did not end at CarCont’s warehouse. Thus, respondents were obligated to know the identity of the ultimate consignee because as freight forwarder, they were obligated to report that information accurately to the U.S. Census Bureau. To the extent that the information was reported inaccurately, respondents were under a duty to correct such inaccuracies after learning of them. It is undisputed that this did not occur.

Documentation Requirements for Exporting a Vehicle

Shippers can transact export shipments of automobiles in different ways. Those present in the USA and familiar with the process may opt to book their cargo directly with VOCC’s. Others would typically use Freight Forwarders to arrange the bookings with VOCC’s. Still others may hire an NVOCC to process the documents and make all the arrangements to facilitate overseas shipments.

The basic process starts with booking the export cargo on a planned vessel, securing the ocean container to load the cargo into, arranging for the trucker to bring the empty container to the loading facility and returning it back to the port once the container is loaded, blocked and braced. Documentation consists of the commercial set listed above, but in the case of exportation of motor vehicles there are additional agency documents and processes that must be complied with.

U.S. Customs and Border Protection Requirements

The exportation of motor vehicles requires additional procedures as mandated by 19 CFR

192.2(a) which states:

“A person attempting to export a used self-propelled vehicle shall present to Customs, at the port of exportation, both the vehicle and the required documentation describing the vehicle, which includes the Vehicle Identification Number or, if the vehicle does not have a Vehicle Identification Number, the product identification number. Exportation of a vehicle will be permitted only upon compliance with these requirements, unless the vehicle was entered into the United States under an in-bond procedure, or under a carnet or Temporary Importation Bond; a vehicle entered under an in-bond procedure, or under a carnet or Temporary Importation Bond is exempt from these requirements. The person attempting to export the vehicle may employ an agent for the exportation of the vehicle.”

Specific documentation requirements are set forth under 19 CFR 192.2 (b) (1) FOR U.S.-titled vehicles as:

***i)** Vehicles issued an original certificate of title. For used, self-propelled vehicles issued, by any jurisdiction in the United States, a Certificate of Title or a Salvage Title that remains in force, the owner must provide to Customs, at the time and place specified in this section, the original Certificate of Title or a certified copy of the Certificate of Title and two complete copies of the original Certificate of Title or certified copy of the original.*

***(ii)** Where title evidences third-party ownership/claims. If the used, self-propelled vehicle is leased or a recorded lien exists in the U.S., in addition to complying with paragraph (b)(1)(i) of this section, the provisional owner must provide to Customs a separate writing from the third-party-in-interest which expressly provides that the subject vehicle may be exported. This writing must be on the third-party's letterhead paper, and contain a complete description of the vehicle including the Vehicle Identification Number (VIN), the name of the owner or lienholder of the leased vehicle, and the telephone numbers at which that owner or lienholder may be contacted. The writing must bear an original signature of the third-party and state the date it was signed*

CBP further clarified the regulations for the Port of New York / New Jersey by Informational Pipeline of June 30, 2008 No. 08-012-NWK (a copy of which is annexed hereto as Appendix “17”) that requires the document set submitted to CBP consist of:

1. Original certificate of title
2. Duplicate certificate of title (front and back)
3. Plus one of the following:
 - a. Dock Receipt

- b. Bill of Lading
- c. Intent to Export Form

The Pipeline also requires that Dock Receipts may not be altered in any way and that original pier-date stamps, VIN Numbers and Shipper/Consignee information must be legible and complete.

19 CFR 192.2 (c) (d) and (e) go on to say that when exporting by vessel, the required documentation and the vehicle must be presented to US Customs & Border Protection (CBP) at least 72 hours prior to export. CBP Port Directors establish and advertise the locations for this vehicle inspection including hours of operation. CBP determines the authenticity of the documents submitted, marks or decrements the documents and returns the original stamped or decremented title to the exporter and keeps the certified copy sets.

This vetting process is designed to allow enough time (72 hours not including weekends or holidays) that a vehicle must sit at the dock while the documents are being reviewed. New and used vehicles each go through a similar process which can vary slightly by customs port. Most require the stamped or decremented title returned to the exporter as the control document for export. In the Customs Port of Newark (NY and NJ port area) the vehicle could be exported if the vehicle and documents were properly presented and no issues found, or 72 hours expires. This process was in force from Pipeline 08-012-NWK dated June 30, 2008 until December 4, 2015 when new Pipeline No. 16-004-NWK (also annexed as part of Appendix “17”) superseded with new requirements that vehicles must be held on dock until the stamped title is released by CBP regardless of whether 72 hours has lapsed. This is the typical practice by CBP today. The December 4, 2015 Pipeline notice also explicitly defines the terms ‘ultimate purchaser, and ‘end user’, and restricts the ocean liner from exporting a vehicle without stamped release documents from CBP, such as the certificate of title.

United States Census Bureau Requirements

A Shipper's Export Declaration ("SED") is required to be submitted to US Census before the cargo is exported. Originally a paper process (no longer accepted)¹², this data is generated as Electronic Export Information (EEI) in the Automated Export System (AES) per regulations today.

¹³ The filing is done either directly by the U.S Principal Party of Interest (USPPI), or can be submitted by a third party Freight Forwarder or NVOCC when requested and authorized through power of attorney. The definition of USPPI is the person in the United States that received the primary benefit, monetary or otherwise, of the transaction. The Commission is respectfully asked to note that the Presiding Officer based the ID upon false and inaccurate information in the SED/EEI.

Export Transaction (§30.3) - 15 CFR 30.3

The U.S. Principal Party in Interest (USPPI) receives payment from a foreign buyer and files the export information or appoints an authorized U.S. agent to prepare and file the EEI. If the USPPI authorizes an agent to file on its behalf, the USPPI must provide the agent a written authorization or power of attorney, as well as make the necessary license determination on the product, if a license is required.

Responsibilities in an Export Transaction (§30.3 (e))

U.S. Principal Party in Interest (USPPI) Responsibilities:

- Act on his own behalf and file the EEI
- Appoint an authorized U.S. agent to prepare and file the EEI on its behalf
- Provide a power of attorney or written authorization to the authorized U.S. agent

¹² For the Commission's reference, an old paper form SED 75725-V is annexed hereto as Appendix "18" in which the filer signed a sworn certification that all statements made therein are true and correct, and which carries civil and criminal penalties for making false statements to the U.S. Government. This certification is now done electronically through AESDirect and placed a statutory obligation on respondents to know that all of the information reported to the U.S. Census Bureau is true and accurate, including the identity of the USPP, FPPI, intermediate consignee, and ultimate consignee.

¹³ 15 CFR 30.3, Census Bureau § 30.3 Electronic Export Information

- Make a License Determination (in case license to export is required)
- Retain documentation

Authorized U.S. Agent Responsibilities:

- Obtain the authorization from the USPPI
- Provide transportation data
- Provide the USPPI with export information that it provided as submitted through the AES, if requested
- Retain documentation

Routed Export Transaction (§30.3 (e))

A routed export transaction is a transaction in which the FPPI authorizes a U.S. agent to prepare and file the EEI. While the FPPI will select the U.S. agent, it may give authorization to the USPPI to file the EEI. There are separate responsibilities for the U.S. Principal Party in Interest and authorized agent in a routed export transaction.

Responsibilities in a Routed Export Transaction (§30.3 (e)(1))

U.S. Principal Party in Interest (USPPI) Responsibilities:

- File on behalf of the Foreign Principal Party in Interest (FPPI), if a power of attorney or written authorization is received.
- Provide authorized U.S. agent of the FPPI with specific export and licensing information.
- Upon request, the USPPI can receive a copy of the required export information that was submitted to the authorized U.S. agent to file.
- Obtain a writing from the FPPI (See EAR 758.3)
- Retain documentation

Authorized Agent Responsibilities:

If authorized by the FPPI:

- Obtain a Power of Attorney (POA) or written authorization from the FPPI
- Upon request, provide the USPPI with a copy of the POA or written authorization provided by the FPPI
- Prepare and file the EEI record
- Upon request, provide the USPPI with a copy of the data elements provided by the USPPI

If authorized by the USPPI:

- Obtain a POA or written authorization from the USPPI
- Prepare and file the EEI record
- Upon request, provide the USPPI with a copy of the data elements provided by the USPPI
- Maintain documentation

Additional Relevant Defined Terms from the EAR and CBP Regulations

19 CFR Part 192.1 of CBP Regulations regarding Exportation of Used Self-Propelled Vehicles, reads, in relevant part, as follows:

“The following are general definitions for the purposes of this subpart...

Ultimate purchaser. “Ultimate purchaser” means the first person, other than a dealer purchasing in his capacity as a dealer, who in good faith purchases a self-propelled vehicle for purposes other than resale.”

15 CFR 772.1 of the EAR contains definitions of terms as used in the EAR and reads, in relevant part, as follows:

“The following are definitions of terms as used in the Export Administration Regulations (EAR)....

Intermediate consignee. The person that acts as an agent for a principal party in interest for the purpose of effecting delivery of items to the ultimate consignee. The intermediate consignee may be a bank, forwarding agent, or other person who acts as an agent for a principal party in interest.

End-user. The person abroad that receives and ultimately uses the exported or re-exported items. The end-user is not a forwarding agent or intermediary, but may be the purchaser or ultimate consignee.

Purchaser. The person abroad who has entered into a transaction to purchase an item for delivery to the ultimate consignee. In most cases, the purchaser is not a bank, forwarding agent, or intermediary. The purchaser and ultimate consignee may be the same entity.

Ultimate consignee. The principal party in interest located abroad who receives the exported or re-exported items. The ultimate consignee is not a forwarding agent or other intermediary, but may be the end-user.”

15 CFR Part 30 – of the Foreign Trade Regulations of the Census Bureau, Department of Commerce, reads, in relevant part, as follows:

“§ 30.6 Electronic Export Information data elements.

The information specified in this section is required for shipments transmitted to the AES. The data elements identified as “mandatory” shall be reported for each transaction....

...(3)**Ultimate consignee.** The ultimate consignee is the person, party, or designee that is located abroad and actually receives the export shipment. The name and address of the ultimate consignee, whether by sale in the United States or abroad or by consignment, shall be reported in the EEI. The ultimate consignee as known at the time of export shall be reported. For shipments requiring an export license including shipments to international waters, the ultimate consignee reported in the AES shall be the person so designated on the export license or authorized to be the ultimate consignee under the applicable license exemption or exception in conformance with the EAR or ITAR, as applicable. For goods sold en route, report the appropriate “To be Sold En Route” indicator in the EEI, and report corrected information as soon as it is known (see § 30.9 for procedures on correcting AES information).

... (10)**Related party indicator.** Used to indicate when a transaction involving trade between a USPPI and an ultimate consignee where either party owns directly or indirectly 10 percent or more of the other party.

...(2)**Intermediate consignee.** The name and address of the intermediate consignee (if any) shall be reported. The intermediate consignee acts in a foreign country as an agent for the principal party in interest or the ultimate consignee for the purpose of effecting delivery of the export shipment to the ultimate consignee. The intermediate consignee is the person named as such on the export license or authorized to act as such under the applicable general license and in conformity with the EAR.”

15 CFR Part 30.1 of the Foreign Trade Regulations of the Census Bureau, Department of Commerce, additionally reads, in relevant part, as follows:

“**Transshipment.** The transfer of merchandise from the country or countries of origin through an intermediary country or countries to the country of ultimate destination.”

Against the backdrop of the foregoing export control regulations, the Commission can see that respondents, in performing their duties as an OTI, were intimately involved in the process of reporting information regarding the shipment of the subject vehicles to various export control regimes. Respondents’ failure to provide true and accurate information, in violation of their

statutory obligations, is *precisely* the reason why complainants are not listed as consignees on the shipping documents.

Respondents' feigned ignorance as to the identity of complainants as ultimate consignees is specious in that they have, to date, secreted the shipping invoices (described below), which should list, among other things : (1) the consignee; (2) the party to whom payment requests are directed; and (3) and the nature of services provided by respondents. Respondents' refusal to produce these documents in direct contravention of the Presiding Officer's Order to do so is very telling. - - Regrettably, the Presiding Officer denied complainants' motion to compel the production of these documents, which complainants explained was necessary to resolve the issue of standing to sue.

Against the backdrop of the foregoing, the certificates of title produced in this matter (relied upon by the Presiding Officer in the ID) contain no markings or validation perforations by CBP, no stamp or indicia of having been "decremented", or any other proof of having been presented to CBP. To the extent that the titles contain evidence of a lienholder, neither have respondents provided evidence that the liens were released - - a necessary prerequisite for CBP to authorize the exports of the subject vehicles. Against the backdrop of the foregoing, the "dock receipts/bills of lading" produced in this matter bear no original pier/date stamp or other indicia of having been presented to CBP.

All of the foregoing raises numerous questions as to how the ID could have been issued without taking into consideration the respondents' failure to produce their *complete* file in this matter which would include the shipping invoices and true and accurate copies of the dock receipts/bills of lading" and titles that were *actually* presented to CBP.

Against the backdrop of the foregoing, the Commission is respectfully asked to consider that Kapustin/Global as USPPI had respondents complete the AES Shipment Records, which if correctly completed would have established that the shipment of the subject vehicles were “routed export transaction”, which complainants to be defined as FPPI. The Commission is additionally asked to consider that pursuant to the statutes cited above, complainants were by definition the ‘ultimate purchasers’, ‘end-users’, and ‘ultimate consignees’, and that CarCont, as ‘intermediate consignee’ could not by definition be the ultimate consignee. Lastly, and under the aforecited Foreign Trade Regulations, these were ‘transshipments’ with the cars being delivered to Kotka, Finland, pending final deliver to complainants (all of whom reside in the various republics of the former Soviet Union). The record indicates that the cars ultimately ended in the possession of third-parties from Russia, and in light of respondents’ failure to indicate same in the AES shipment records, the Commission should consider same in evaluating the accuracy (or inaccuracy) of said documents, and specifically, respondents’ designation of CarCont as consignee.

Respondents Are Subject To the EAR and CBP Regulations and Had A Duty to Know To Whom the Subject Vehicles Were Shipped

Inasmuch as respondents, as a duly licensed OTI are subject to the EAR and CBP Regulations, they are charged with the responsibility to do their due diligence in knowing whether or not the exported items are subject to any sort of restrictions based upon what is being exported, to where, to whom, and for what purpose. 15 CFR Part 744 of the EAR explains that export restrictions based on the end-use and end-user include restrictions on certain “...military end-uses, as well as restrictions on certain end-users.” Accordingly, OTI’s are under a statutory duty to conduct due diligence to prevent potential violations of the EAR.

Additionally, and per the EAR, parties to an export transaction cannot bypass the EAR by shipping items through a third-country. The foregoing serves to place a duty upon respondents to

have known the ultimate consignees of the subject vehicles. By way of illustration as explained above, an NVOCC cannot bypass the U.S. embargo against Iran by shipping an item to a distributor in Germany and asking that distributor to transship the item to a customer in Iran.

BIS maintains restrictions on end-users listed on: (1) the Denied Persons List¹⁴; (2) the Entity List (§ 744.16); and (3) the Unverified List (§ 744.15). BIS uses these lists to notify the public of end-users of concern, including entities engaged in illicit export activity or other activities contrary to U.S. national security or foreign policy, and entities that could not be confirmed as reliable recipients of U.S. origin commodities. Put simply, respondents could not enter into a shipping transaction knowing that an EAR violation could occur (this is even written explicitly on each MSC bill of lading as explained above), therefore, the Presiding Officer's adoption of respondents' 'version' of the story that the cars were shipped by them to CarCont's lot to be sold to an as yet unnamed party, creates precedent that allows for the circumvention of export restrictions set forth in the EAR. The Presiding Officer's adoption of respondents' 'version' of the story further runs afoul of the Commission's mission to foster a fair, efficient and reliable international ocean transportation system and to protect the public from unfair and deceptive practices.

By Definition, CarCont Could Not Have Been the Ultimate Consignee for the Subject Vehicles

The Commission is respectfully referred to the definition for 'Ultimate consignee' set forth above, which explains that "[t]he ultimate consignee ***is not a forwarding agent or other intermediary***, but may be the end-user." End-users are also defined above as "[t]he ***person abroad*** that receives and ultimately uses the exported or re-exported items. The end-user ***is not a forwarding agent or intermediary***, but may be the purchaser or ultimate consignee." The

¹⁴ <https://www.bis.doc.gov/index.php/the-denied-persons-list>

purchaser is defined above as “[t]he person abroad who has entered into a transaction to purchase an item for delivery to the ultimate consignee...***The purchaser and ultimate consignee may be the same entity.***”

It is undisputed that CarCont did not purchase the subject vehicles, nor was CarCont the end-user of the cars. It is further undisputed that CarCont held the vehicles at the direction and request of respondents EUL and Hitrinov and were released to third parties directly from CarCont’s warehouse facility and either transshipped or re-exported. Accordingly, and by definition, CarCont was either a ‘forwarding agent or other intermediary’, and its designation by respondents as “consignee” on the “dock receipts/bills of lading” or “master bill of lading” was that of *intermediate* consignee.

Accordingly, and to the extent that the Presiding Officer found CarCont to be the consignee for the cars and relied upon respondents’ designation of CarCont as “ultimate consignee” on the AESDirect printouts produced by the parties in support of such a finding of fact, that such reliance was misplaced and resulted in an erroneous finding of fact.

Respondents’ Failure to Issue Bills of Lading Containing True and Accurate Information Resulted In Respondents Obtaining a False and Fraudulent Judgment in this Proceeding

As discussed at length in this brief, various findings of fact in the ID and conclusions drawn therefrom by the Presiding Officer as to complainants’ alleged lack of standing are based upon the “shipping documents” produced by the respondents in this matter pursuant to the Presiding Officer’s instructions, and include documents entitled “dock receipt/bill of lading” and/or “master bill of lading”. It is respectfully submitted that these documents are incomplete and unauthenticated and this issue was brought to the Presiding Officer’s attention in the record below on multiple occasions, wherein complainants explained that respondents’ documents were

fabricated/created by respondents and were not the same documents actually used during the shipment of the subject vehicles.

Accordingly, it was impossible for respondents to have exported the cars overseas if they had presented CBP with the same documentation that they presented to the Presiding Officer during this proceeding.

On the issue of these unauthenticated documents, respondents' failure to fulfill their legal obligations to create and maintain records which accurately reflected the true parties to the shipping transactions (per their course of conduct with Kapustin) are *precisely* the reason why complainants as unsophisticated parties (and who are not experts in the automobile export industry) were not in possession of documents identifying them as ultimate consignees for the cars.

Complainants, as unsophisticated parties to the subject shipping transactions, reasonably believed that the documentation provided to them by Global when they purchased the subject vehicles was sufficient proof to establish their legal right to the cars at the time of delivery to CarCont's warehouse. In essence, by finding that "[c]omplainants have not identified evidence that would support a finding that shipper Kapustin intended that they be identified as consignees or that Empire, operating as an NVOCC, agreed to deliver the cars to Complainants..." the Presiding Officer effectively rewarded respondents for failing to keep true and accurate records.

In the first instance, the Complaint in this matter specifically alleges that respondents violated §41102(c) by "failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property; and by failing to provide Complainants and any other necessary parties with: (1) proper and lawful documents of ownership; (2) shipping invoices and house bills of lading..."

It is well settled that the issuance of misleading or altered shipping documents is a violation of the Shipping Act. See, Tractors and Farm Equipment Limited v. Cosmos Shipping Co., Inc., 26 S.R.R. 788 (ALJ 1992) (freight forwarder held to have violated section 10(d)(1) by failing to establish, observe and enforce just and reasonable practices with respect to two shipments ***when the freight forwarder prepared incorrect booking notes and dock receipts, and issued an altered bill of lading containing false information***); William R. Adair v. Penn-Nordic Lines, Inc., 26 S.R.R. 11 (ALJ 1991) (NVOCC failed to establish, observe, and enforce just and reasonable regulations and practices in violation of section 10(d)(1) when the NVOCC unreasonably aborted a shipment, notwithstanding the fact that it had issued an on-board bill of lading, ***thereby allowing a misleading shipping document to go forward in the shipping process***) (emphasis added).

In the alternative, and to the extent that it could be reasonably believed that these “dock receipts/ bills of lading” were the (misleading) shipping documents that were actually part of the ‘shipping process’ of exporting the subject vehicles, it is respectfully submitted that the Presiding Officer wholly ignored the glaring fact that not only did Global request that respondents provide the bills of lading for the subject vehicles, which were subsequently forwarded to complainants by Global together with the titles and invoices and/or bills of sale for the subject vehicles, but additionally, the respondents on multiple occasions, requested that *Global* provide respondents *with Global’s invoices* for the sale of the subject vehicles (in the event that Global had not already provided them to respondents) which further establishes that respondents were aware of the identity of the ultimate consignees.

An example of this can be found on the spreadsheet attached to an email dated January 17, 2013 which is referred to in Finding of Fact # 113 (ID at p. 45), wherein the Presiding Officer makes reference to the spreadsheet in Respondents' Motion for Judgment on the Pleadings, Exhibit

2, a copy of which is annexed hereto as Appendix “19”. The Commission can see that for EUL Invoice number 98555 for a 2012 Honda CR-V, VIN # 5J6RM4H74CL002531, there is an notation that says “need invoice” and that this notation is absent from many other shipments referenced in the spreadsheet. A second example of this can be found for the portion of the spreadsheet that referenced EUL Invoice number 98737 for a 2012 Honda CR-V EX, VIN # 5J6RM4H54CL000809.

Accordingly, if the “shipping documents” produced by respondents in this litigation are not the same ones used in the shipping process and presented to MSC, then the respondents have committed a fraud upon this Commission. In the alternative, and if the documents are true and accurate copies of those used in the shipping process, then two conclusions can be drawn: (1) respondents violated section 10(d)(1) of the Shipping Act by issuing inaccurate “dock receipts/ bills of lading” that failed to identify complainants as ‘ultimate’ consignee; and (2) that regardless of that violation, Global, by Sergey Kapustin manifested his intent that the subject vehicles be released to complainants as consignee when Global requested that respondents provide the bills of lading for the subject vehicles, which were subsequently forwarded to complainants by Global, together with the invoices and/or bills of sale for the subject vehicles as well as the titles. These documents were provided to complainants to assure them that the cars were shipped, that freight was prepaid, and that complainants would subsequently be able to retrieve the cars from CarCont’s lot.

There is nothing on the record that indicates that Global *did not intend* the subject vehicles to be released to complainants, or that complainants were not the intended consignees of the vehicles. The record is clear that the sole issue over releasing the cars was a dispute over money *between Global and Empire*.

The Presiding Officer's Failure to Realize the Significance of the Spreadsheet Exchanged between Respondents and Kapustin

Prior to going into the details of the numerous material inaccuracies in the findings of fact and conclusions drawn therefrom in the ID, the Commissioners are respectfully asked to note the significance of the spreadsheet that was exchanged between Respondents and Kapustin during the course of their approximate two year relationship, which the Presiding Officer overlooked. As set forth below, this spreadsheet is a 'black book' that openly details the unlawful activities of the respondents, and is being described for illustrative purposes in the event that there is any doubt for the Commission as to the issue of respondents' fraud.

The ID incorrectly states that "[t]he findings of fact paragraphs 1-82 based on the email and other correspondence between Empire representatives and Global Auto representatives ***provide a comprehensive picture of the relationship between Kapustin and Empire and of how they handled shipments of cars*** from the United States to Finland during their business relationship." (ID at p. 61) (Emphasis added). This conclusion drawn by the Presiding Officer is erroneous, in that while the "email and other correspondence between Empire representatives and Global Auto representatives" provides a 'partial' picture of the Kapustin/Empire relationship, the document that is truly illustrative of their unlawful and fraudulent scheme is the spreadsheet exchanged between them.

The ID explains that "[e]ach of the cars claimed by Complainants is identified on the Empire spreadsheet as an investment vehicle. FF 87 - GMC Acadia (Ovchinnikov); FF 100 - Jeep Compass (Rzaeva); FF 113 -Mercedes Benz (Nekipelov); FF 125 - Toyota Camry (Nurgazinov)." (ID at p. 62). A close inspection of the spreadsheet, however, reveals that respondents were exporting automobiles without adhering to their statutory obligation to present the certificates of title and other documentation (invoice/bill of sale) to CBP (noting in the column identified as

“Title”, that for various vehicles there was “no” title provided to respondents). Additionally, respondents undervalued the automobiles when they filed the AES Shipment Records with the U.S. Census Bureau at the time that the automobiles were exported, in violation of Federal law (see Email produced by EUL in the matter of Global Auto Inc. et al., v. Michael Hitrinov et al., U.S.D.C. – E.D.N.Y. Docket No.: 13-cv-2479, bates numbered EUL_001946, annexed as Appendix “1” to REPLY TO RESPONDENTS’ RESPONSE TO ORDER FOR PARTIES TO SUPPLEMENT THE RECORD of August 9, 2016, annexed hereto as Appendix “20”). In said email respondent Hitrinov admitted to “undervaluing” the cars shipped by Global.

Accordingly, the Commission is asked to take the foregoing into consideration when weighing the credibility that the Presiding Officer accorded to the representations made by respondents with respect to the manner in which respondents allegedly conducted their business with Kapustin.

D. THE ID CONTAINS NUMEROUS MATERIAL INACCURACIES IN ITS
FINDINGS OF FACT AND CONCLUSIONS THEREFROM WHICH WARRANT
REVERSAL

It is further respectfully submitted that various findings of fact made in the ID are erroneous in that while they are based upon certain documents presented by respondents, the Presiding Officer arbitrarily chose to rely on said documents but ignored other documents that contain conflicting information. In some instances, the findings of fact conflict with what is written on the documents upon which said findings of fact are based, and contain material misrepresentations. The Commission is respectfully reminded that all of this has taken place without formal discovery having been had in this matter. There have been no depositions and no opportunity for complainants to flesh out the inconsistencies in respondents’ documentation, the number of said red flags being significantly high.

Specific Material Errors by the Presiding Officer

By way of example, and with respect to the subject Toyota Camry, the Presiding Officer's finding of fact numbered "125" notes that respondents listed said vehicle on a spreadsheet "at line 104452" as an "investment vehicle" with a "balance of \$10,700.00" (ID at pp. 46-47) - - there are a number of material issues that arise out of this finding of fact, and many others discussed herein. In the first instance, the spreadsheet referred to herein lists the sum of \$10,700.00 in a column entitled "Finance" and not "balance" as incorrectly stated by the ALJ.

Additionally, the "line 104452" referred to by the ALJ is not a *line* in the spreadsheet, rather it is a reference to an *invoice*¹⁵ numbered 104452. Additionally, this vehicle was listed on the AESDirect Shipment Record as having a declared value of \$9,905.00 and which also makes reference to "Transportation Reference Number" 104452 (See, Respondents' Notice of Filing of May 5, 2016, annexed hereto as Appendix "21"). These points are significant and material for the Commission in that: (1) neither invoice number 104452, *nor any other invoices* for the other vehicles were produced by respondents (and the Presiding Officer denied complainants' motion to compel the production of same); (2) the invoices would have identified parties to the shipping transaction, such as the end user of the ultimate purchaser; (3) the fact that respondents undervalued the car when they reported the shipment to the U.S. Census Bureau (via AESDirect Shipment Record) showing that it was worth \$9,905.00, when they had a record of it being worth \$10,700.00 further indicates that respondents were deliberately misrepresenting information to the U.S. Government in these AESDirect Shipment Records, *including the identity of the consignee*.

¹⁵ Finding of fact # 14 makes reference to this as an "involve" number rather than an invoice number. The actual spreadsheet produced by respondents from which the findings of fact are drawn refers to these items as "invoive" numbers. In light of the Presiding Officer's additional reference to these items as lines in a spreadsheet, it is entirely unclear as to whether or not the Presiding Officer understood that these are references to invoices which respondents have to date, refused to produce, and which were the subject of complainants' motion to compel the production of shipping documents which was denied contemporaneously with the issuance of the ID. These numbers are also listed on the dock receipts and bills of lading as an export reference number.

Respondents' outright refusal to produce these invoices (first in the face of the Presiding Officer's direct instruction to do so per the Order to Produce Shipping Documents) which resulted in complainants' motion to compel the production of same should raise a red flag for the Commission. These documents would, at the minimum, identify the party to whom the services are being billed, and would also describe the services rendered by respondents. Least respondents continue to attempt to confuse the Commission on the issue of the missing invoices, it should also be noted that the documents entitled "statement" (for example, statement nos. 448, 449, 450 and 451 identified in pp. 9-12 of Appendix "21") produced by respondents are not the same documents as the missing invoices. It should further be noted that a review of these statements indicate that the missing invoices are also referenced therein by invoice number.

The same error by the Presiding Officer can be seen with FF# 87 regarding the Acadia (ID at p. 42), wherein the Presiding Officer's notes that respondents listed said vehicle on a spreadsheet "at line 104211" as an "investment vehicle" with a "balance of \$27,489.00". The Presiding Officer fails to note that this reference was to an *invoice* numbered 104211 *which was never produced by respondents*.

It is respectfully submitted that it would be a miscarriage of justice if the Commission were allow the ID to stand as is when respondents have continually, and with impunity lied about their illegal activities, as well as the documents which remain in their possession and which would further expose them to the Commission. As can already be seen, the recital of facts in the ID is, for the most part, an adoption (without any basis in fact) of the story of the dealings of Kapustin and Hitrinov (one of whom has already been arrested for fraud) as described by them, and serves as an instruction manual for how to get away with fraud, which the Presiding Officer describes as "not a typical shipper-carrier relationship". As an aside, the Commission is reminded that the

Honorable Judge Sandra L. Townes of the Eastern District of New York characterized Hitrinov as the person who “helped to finance [Kapustin’s] scheme....” (See Appendix “22” at p. 8).

The Presiding Officer Omitted Certain Material Facts from the Findings of Fact

By way of example, and with respect to the subject Acadia, while the Presiding Officer’s finding of fact numbered “83” (ID at p. 41) states that the G-Auto invoice (No. 67779) issued to complainant Ovchinnikov for the purchase of the Acadia indicated a balance due of \$1420.00, the Presiding Officer *omits* the fact that on October 18, 2012, the balance of \$1420.00 was wired to G-Auto and the car was paid for in full. The wire notice, previously produced on p. 60 complainants’ Notice of Filing of May 4, 2016 (Appendix “16”) makes reference to G-Auto invoice No. 67779 (see, also Complaint at ¶ 40). This is significant in that the balance was paid *three days prior* to the loading on board of the Acadia as set forth in FF 92, and which establishes that as of the time of export, that complainant was not only the owner and ultimate consignee, *he was also the FPPI pursuant to the EAR regulations described herein*. Under the respondents’ bill of lading, Ovchinnikov should have been listed as shipper/exporter and ultimate consignee. The conclusions drawn by the Presiding Officer without this additional information resulted in an erroneous determination that Ovchinnikov was a not a party to the shipping transaction and without standing to sue.

Additionally, and with respect to FF #84 (ID at p. 41), while the Presiding Officer notes that the G-Auto Sales, Inc., contract-invoice states: "Advance payment of the buyer is not the final purchase of the automobile, but guarantees [its] reservation for the definite term stipulated separately", the Presiding Officer omits the fact that the invoice also states that “[t]he client undertakes to pay for port costs and warehouse costs in Kotka City” (See, Appendix “16” at p. 56), as well as the fact that Global requested that respondents provide Global with a bill of lading

(which states “Freight Prepaid”), which after receipt of same, Global subsequently forwarded to complainant Ovchinnikov.

Consequently, complainant Ovchinnikov was assured by via these documents (and via the acts of Global and respondents) that his only outstanding obligation was to pay for port costs and warehouse costs in Kotka City in order to retrieve his vehicle from CarCont. This information also stands in stark and marked contrast to the Presiding Officer’s determination that “[c]omplainants have failed to establish by a preponderance of the evidence that Kapustin entered into contracts of carriage with Empire that required Empire to deliver the cars to Complainants.”

Further, and with respect to FF #’s 88, 89, 90 and 91 (ID at p. 42) – While the Presiding Officer notes that on a date unknown, a dock receipt/bill of lading was issued for container number TCNU8761450 identifying Empire as shipper and CarCont as consignee and containing booking number 038EUL1046438, he omits the fact that on December 17, 2012 at 11:22 a.m., this document was emailed by respondents to Global (email and attachment on pp. 14-15 of respondents’ May 9, 2016 response to the Presiding Officer’s Order to Produce Shipping Documents, annexed hereto as Appendix “23”) one day before the container was marked on December 18, 2012 as “Gate In Full” on the tracking information for the MSC bill of lading (see, Appendix “16”, p. 46). The Presiding Officer further omits that fact that the “bill of lading” was subsequently forwarded to complainants by Global, together with a copy of the G-Auto invoice for the sale of said vehicle and a copy of the certificate of title for same.

The Presiding Officer further omits the fact that while the MSC bill of lading for the container states that the container was “shipped on board” on December 22, 2012¹⁶ (See Appendix

¹⁶ FF# 91 incorrectly states that the “shipped on board date” was December 12, 2012 - - This is not what the MSC Bill of Lading states, which the Presiding Officer also incorrectly characterizes as a “Sea Waybill”. Inasmuch as this document is clearly titled as a “Bill of Lading”, was the Presiding Officer reviewing a completely different set of

“13”), the “bill of lading” was provided to Global by the respondents on December 17, 2012 as set forth above, and the ID further fails to reach to obvious conclusion that the documents provided by respondents to Global and complainants (as well as to the Commission) are not the same documents that were provided to ocean liner MSC as part of the shipping process. - - Specifically, the “dock receipt/bill of lading” issued by respondents clearly is missing crucial information, such as the AES-ITN number (which is stated in full on the MSC bill of lading as X20121218003923 and is stated on the “dock receipt/bill of lading” as “NO SED REQUIRED, AES-ITN: X2012), gross weight (listed on the MSC bill of lading as 1,748 kgs. and which is completely missing on the “dock receipt/bill of lading”).

In sum, the Presiding Officer fails to realize that these “dock receipts/bills of lading”, which were provided to Global (and ultimately to the complainants in order to mislead them into believing that they could retrieve the cars from CarCont with these documents, which stated that Freight and “CSC” was “Prepaid”) are not the same documents provided by respondents to MSC for purposes of preparing the MSC bills of lading. The Commission is also again respectfully asked to note that each and every MSC bill of lading contains language which states that the commodities listed on the bills of lading are exported: “in accordance with the Export Administration Regulations...[and that]...diversion contrary to U.S. Law [is] prohibited.”

Consequently, the ID is not based upon authentic “shipping documents” which the Presiding Officer ordered the parties to produce prior to issuing the ID, and neither are the findings of fact and conclusions drawn therefrom within the ID accurate, in that they wholly fail to give any accord to the EAR. As stated above, and pursuant to the EAR, these shipments would have been characterized in a completely different manner, and complainants’ role as interested parties

documents on which the findings of fact are based, rather than those produced by the parties? - - This a pattern of material errors which can be seen throughout the ID in the findings of fact and the conclusions drawn therefrom.

to the shipping transactions would have been crystal clear, as would the issue of complainants' standing to pursue Shipping Act claims.

Additionally, and with respect to FF #s 89 and 93 (ID at p. 42-43) – While the Presiding Officer notes in FF# 89 that a dock receipt/bill of lading for container TCNU8761450 identifies Empire as the Shipper and CarCont as the consignee, he notes in FF# 93 that the AES Shipment Record Identifies Global Auto as the shipper and CarCont as the consignee. These findings conflict directly with one another as there can only be one consignee and one shipper.

With respect to FF #93 (ID at p. 42-43) – While the Presiding Officer states that the “AES Direct Shipment Record for booking reference 038EUL1046438 and container TCNU8761450 *identifies Global Auto Inc. as the shipper and CarCont as the ultimate consignee*”, the Commission is reminded that this AES Direct Shipment Record is false, fraudulent and consequently void for the reasons set forth above in the section of this brief regarding the BIS and criminal implications of making false statements in AES filings. This finding of fact is erroneous in that it fails to conclude that pursuant to the EAR, that complainant Ovchinnikov was the FPPI and a party to the shipping transaction with a proprietary interest inasmuch as the subject automobile was paid for in full at the time of shipment.

It is additionally noted that there is nothing in the record to show that Global intended release of the Acadia to “Pavel Korolvev” as consignee (Appendix “23” at p. 26), nor anything to demonstrate that respondents and CarCont had any basis for doing so. During discovery, the respondents presented an undated document titled “RELEASES” which identify the shipment by reference number, and identify the vehicle by make, model, year, VIN number, and which further identified “Global” as shipper, and “Pavel Korolvev” as consignee. Respondents produced no other documents connecting this shipment to Pavel Korolev, no shipping documents, bills of

lading, AESDirect shipment records, no payment records, and no automobile certificates of title naming Korolev as title holder.

Further, and with respect to FF #'s 126, 127, and 128 (ID at p. 47) – While the Presiding Officer notes that on a date unknown, a dock receipt/bill of lading was issued for container number TCKU9873233 identifying Empire as shipper and CarCont as consignee and containing booking number 038EUL1045297, he omits the fact that on January 9, 2013 at 8:23 a.m., this document was emailed by respondents to Global (email and attachment on pp. 3-4 of respondents' May 5, 2016 response to the Presiding Officer's Order to Produce Shipping Documents, in Appendix "21"). The Presiding Officer further omits that fact that the "bill of lading" was subsequently forwarded to complainants by Global, together with a copy of the G-Auto invoice for the sale of said vehicle and a copy of the certificate of title for same.

It is further respectfully submitted that across the board with respect to the shipment of all of the subject vehicles, it is undisputed that prior to said vehicles being marked as "GATE IN FULL", on the MSC shipment tracking records provided in the complainants' Notices of Filing (See, e.g., Appendix "16" at p. 47) that at least one day prior, all cars were paid for in full, further establishing complainants' role as FPPI and a party to the shipping transaction with a proprietary interest and accordingly, standing to sue.

Complainants Have Established That Kapustin Intended for the Subject Vehicles to Be Released to Complainants and that Kapustin Informed Respondents that the Subject Vehicles were to be released to Complainants

It is undisputed that complainants received the "dock/receipts/bills of lading" from Kapustin/G-Auto for purposes of retrieving their vehicles from CarCont. An email dated February 23, 2013 from complainant Nurgazinov to denisshavr@eulines.com (Appendix "15" at p. 4) contains the following language "На всякий случай высылаю Вам коносамент и мой контактный номер: 8-777-146-34-87" which translated from Russian reads as follows: "Just in

case, I will send you a bill of lading and my contact number: 8-777-146-34-87”. That email was sent to respondents by complainant Nurgazinov for purposes of obtaining his vehicle from CarCont. Why else would Kapustin provide complainant with said document? That email also establishes respondents’ knowledge that complainant Nurgazinov was the intended recipient of the vehicle. This was overlooked by the Presiding Officer in rendering the decision from which complainants now appeal.

By further way of example, Global emailed complainant Nurgazinov on December 20, 2012 (Appendix “15” at p. 9), which contained the following language: “Данные с указанием номера контейнера из США еще не получены” which translated from Russian reads as follows: “Data indicating the container number from the United States has not yet been received”. Why else would Kapustin make such a statement? This was also overlooked by the Presiding Officer in rendering the decision from which complainants now appeal.

Most significantly, the Presiding Officer erroneously ignored evidence presented by complainants which established that Kapustin had indeed provided respondents with information identifying complainants as ultimate consignees, such as spreadsheets which identified the subject vehicles by export reference number (also listed on the “dock receipts/bills of lading” and MSC sea waybills) make, model, VIN number, and which identified the complainants by name. That information is contained in three emails from CarCont to respondents dated May 14, 2013, May 13, 2013, and May 13, 2013 respectively, with spreadsheets attached. (See Appendix “14”, pp. 5-45). The significance of these documents cannot be overlooked and the Commission should note that complainants were deprived of the opportunity to conduct discovery regarding these documents, which would have included deposition testimony of CarCont and the respondents.

The Commission is further respectfully asked to note that complainants were deprived of the opportunity to conduct discovery and depositions regarding the spreadsheets that were in Kapustin's possession which identified the subject vehicles by make, model, VIN number, and which identified the complainants by name (Appendix "14" at pp. 47-48). These documents also go to the very heart of the issue of Kapustin's knowledge and intent with respect to the subject vehicles, as well as the respondents' knowledge that complainants were the ultimate consignees.

CONCLUSION

The Presiding Officer erred by considering respondents' motion for judgment on the pleadings as a 'factual' attack in the absence of permitting complainants to conduct necessary discovery. Additionally, the Presiding Officer erred by failing to convert respondents' motion to one for summary judgment which would have immediately rendered said motion premature, requiring the conducting of discovery and the taking of testimony, as such discovery was necessary for complainants to fully respond to respondents' instant motion.

The Presiding Officer further erred by delimiting complainants' standing to sue, by imposing requirements that complainants (1) demonstrate that they were consignees to the agreement between respondents and the shipper of the subject vehicles; and (2) demonstrate that respondents had a duty to deliver the subject vehicles to complainants.

Additionally, the Presiding Officer erred in wholly ignoring an entire body of case law wherein a party who can demonstrate issues of fact regarding their ownership and/or proprietary interest in property damaged or lost or which complainants were otherwise wrongfully deprived of, that such ownership or proprietary interests, pursuant to the EAR establish complainants to be interested parties to the shipping transactions with standing to sue. The Presiding Officer further

erred by ignoring substantial documentation which at the least created a factual dispute as to complainants' proprietary and ownership interests in the subject vehicles.

The Presiding Officer also erred in failing to consider that as a licensed Ocean Transportation Intermediary, respondents had a statutory duty to know, and in fact did know that complainants were the ultimate consignees for the subject vehicles, and that by statutory definition, CarCont could not have been the ultimate consignee for the subject vehicles. Additionally, and amongst the many material inaccuracies in the ID's findings of fact and conclusions therefrom, which warrant reversal, the Presiding Officer overlooked evidence that that Kapustin intended the subject vehicles to be released to complainants and that respondents were in possession of information identifying complainants as recipients for the cars.

Based upon the foregoing, it is respectfully submitted that the Presiding Officer thus engaged in 'harmful error' in prematurely granting respondents' motion for judgment on the pleadings; in refusing to allow discovery to proceed in this matter, despite complainants having not only filed a motion to compel the very discovery necessary to fully oppose respondents' instant motion; in arbitrarily and capriciously delimiting complainants' standing to sue by imposing overly restrictive requirements not supported under the law, and refusing to acknowledge established legal precepts regarding same.

For all these reasons, together with the entire record pertaining to this matter, all of which was available to the Presiding Officer at the time he rendered his decision now appealed from, it is respectfully submitted that the harmful errors described above now necessitate a reversal of the Initial Decision of March 9, 2017, and the denial of respondents' motion for judgment on the pleadings without prejudice and with leave to renew at the summary judgment stage upon completion of discovery in this matter.

Wherefore, it is respectfully submitted that the Presiding Officer's Initial Decision of March 9, 2017 should be reversed; that this matter should be reinstated to active status; that the Presiding Officer should rule on complainants' pending motion to compel discovery; and that complainants be granted such other and further relief as the Commission may deem just and proper under the circumstances.

Dated: May 3, 2017
Brooklyn, New York

Respectfully Submitted,

A handwritten signature in black ink, appearing to read "Marcus A. Nussbaum", written over a horizontal line.

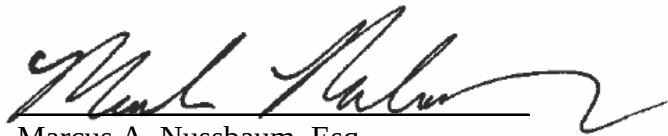
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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the **COMPLAINANTS' EXCEPTIONS TO INITIAL DECISION GRANTING RESPONDENTS' MOTION FOR JUDGMENT ON THE PLEADINGS** and **APPENDIX** upon Respondents' Counsel at the following address:

Nixon Peabody LLP
Attn: Eric C. Jeffrey, Esq.
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Washington, DC 20001-4501

by first class mail, postage prepaid, and via email (ejeffrey@nixonpeabody.com).

A handwritten signature in black ink, appearing to read "Marcus A. Nussbaum", is written over a horizontal line.

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Dated: Brooklyn, New York
May 3, 2017